ASSETS (MONEY) LAUNDERING PREVENTION ACT, 2064 (2008)

Act No. 24 of the year 2064

(Unofficial Translation)

	Particulars	**Date (BS)**
	Date of Authentication and Publication	2064.10.14
	Acts amending this Act:	
1	Assets (Money) Laundering Prevention (First Amendment) Act, 2068	2068.02.18
2	Assets (Money) Laundering Prevention (Second Amendment) Act, 2070	2070.12.12
3	Act Amending Some Nepal Acts, 2072	2072.11.13
4	Act Amending Some Nepal Acts, 2075	2075.11.19
5	Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080	2080.12.30
6	Assets (Money) Laundering Prevention (Third Amendment) Act, 2083	2083.03.25

An Act Made to Prevent Money Laundering

Preamble: Whereas, it is expedient to make legal provisions for preventing the laundering of property obtained from criminal activities [1]and the financing of terrorist activities;

Now, therefore, the Legislature-Parliament has enacted this Act.

[1]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

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Chapter-1
Preliminary

1. Short title, extent and commencement:–

(1) This Act may be called the "Assets (Money) Laundering Prevention Act, 2064".

[2](2) This Act shall extend throughout Nepal and shall also apply to any person who commits an offence relating to money laundering and financing of terrorist acts, whether residing within Nepal or anywhere outside Nepal.

(3) This Act shall come into force immediately.

2. Definitions[3]:–

Unless the subject or context otherwise requires, in this Act,-

(a) [4]"Investigation officer" means the officer authorized to carry out investigation under Section 15, and this term also includes a team where a team has been formed for investigation.

(b) "High-ranking person of an international organization" means a person who holds or has held the responsibility of a director member, manager, director, deputy director or equivalent who has obtained high responsibility in the management of an international organization.

(c) [5]"Terrorist act" means an act deemed to be an offence relating to terrorist acts under the prevailing law.

(d) "Terrorist" means a natural person who does any of the following acts:-

(1) Commits or attempts to commit a terrorist act unlawfully and wilfully, directly or indirectly, by any means whatsoever,

(2) Participates as an accomplice in committing a terrorist act,

(3) Organizes or directs others to commit a terrorist act, or

(4) Assists or contributes to a group having a common purpose of committing a terrorist act in committing a terrorist act, knowingly that such group commits or intends to commit a terrorist act, or knowingly that the assistance or contribution made by him or her promotes the terrorist act.

(e) "Terrorist organization" means any of the following organized or unorganized groups or organizations of terrorists:-

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[2]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[3]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[4]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[5]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(1) Which commits or attempts to commit a terrorist act unlawfully and wilfully, directly or indirectly, by any means whatsoever,

(2) Which participates as an accomplice in committing a terrorist act,

(3) Which organizes or directs others to commit a terrorist act, or

(4) Which assists or contributes to a group having a common purpose of committing a terrorist act in committing a terrorist act, knowingly that such group commits or intends to commit a terrorist act, or knowingly that the assistance or contribution made by it promotes the terrorist act.

(e1) [6]"Proliferation financing of weapons of mass destruction" means the investment of property or funds made for the act of developing, manufacturing, producing, purchasing or selling, distributing, using, possessing, acquiring ownership of, transferring, storing, stockpiling, transporting or managing, exporting or importing, or causing to be done so, any nuclear, chemical, biological (bacteriological) or toxic weapon contrary to the prevailing law.

(f) "High-ranking person" means a domestic high-ranking person, a foreign high-ranking person or a high-ranking person of an international organization, and this term also includes a person of the category specified by the Nepal Government, on the recommendation of the Coordination Committee, by publishing a notice in the Nepal Gazette.

(g) "Correspondent banking" means an arrangement under which a financial institution provides banking services to its customers through another financial institution.

(h) "Proceeds of crime" means property of any kind obtained or acquired, directly or indirectly, from an offence of money laundering or a predicate offence, and this term also includes any other property or economic benefit grown or increased from such property, or property or benefit transferred or converted, partly or wholly, in any manner.

(i) "Instrumentality related to an offence" means any means, property or other instrument used, or sought to be used, in any manner, partly or wholly, to commit an offence of money laundering or a predicate offence.

(j) "Transaction" means an agreement made for the purchase, sale, distribution, transfer, investment or use of property or for carrying out any other economic or business activity, or any of the following acts:-

(1) Establishing a business relationship,

(2) Opening an account,

[6]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(3) Collecting deposits or amounts, making payments, payment orders, exchange or transfer of funds through any kind of currency or instrument, by electronic or any other means,

(4) Using any kind of safe deposit (locker),

(5) Establishing a fiduciary relationship,

(6) Making or receiving payment, wholly or partly, on the basis of any legal or contractual obligation,

(7) Making or receiving payment on the basis of a game played in such a manner that the result is determined on the basis of lottery, betting or chance,

(8) Establishing or registering a legal person or legal arrangement,

(9) Doing any other act specified by the Nepal Government by publishing a notice in the Nepal Gazette.

(k) "Legal arrangement" means a guthi (express trust) or other legal arrangements of a similar nature.

(l) "Legal person" means a company, corporation, cooperative or any other corporate body, and this term also includes a private firm, partnership or non-governmental organization.

(m) "Fund" means a financial asset, economic resource or property of any kind, whether tangible or intangible, movable or immovable, physical or non-physical [7]or natural, electronic or digital, obtained in any manner or grown or increased therefrom, or the following instruments or resources, and this term also includes a legal document, deed, certificate or any instrument, electronic or in any form, evidencing a right or interest in such property, instrument or resource:-

(1) Bank loan,

(2) Traveller's cheque,

(3) Bank cheque,

(4) Money order,

(5) Share,

(6) Securities,

(7) Bond,

(8) Draft,

(9) Letter of credit,

[7]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(10) Any other economic or financial resource.

(n) "Non-financial professional or business" means a professional or businessperson carrying out any of the following business activities:-

(1) Casino or internet casino business,

(2) Real estate purchase or sale business,

(2a) [8]Business of selling vehicles or business of providing loans for purchasing such vehicles,

(3) Business of dealing in prescribed precious metals or goods,

(4) A notary public, auditor, accounting professional or other professional carrying out work of a similar nature, while doing, preparing for or being involved in the following acts on behalf of his or her customer or party:-

(a) Purchase and sale of real estate,

(b) Management of the money, securities or other property of the customer,

(c) Management of acts relating to bank, savings and securities,

(d) Management of contributions and investment made at the time of establishing or operating a legal person,

(e) Creation, establishment, registration, [9]accounting, revenue, financial or business opinion, advice, or operation or management of a legal person or legal arrangement,

(e1) [10]Audit, for the purpose of Section 7S,

(f) Purchase or sale of any business entity.

(5) A company or trust service provider which, while doing, preparing for or being involved in the following acts on behalf of its customer or party, provides the following services on a commercial basis:-

(a) Acting as an agent for the establishment, registration or management of a legal person or legal arrangement,

(b) Acting as, or causing another person to act as, a partner, director, secretary or similar officer of a legal person,

[8]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[9]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[10]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(c) Providing a registered office, address or place on a commercial basis to a legal person or legal arrangement, or taking responsibility for correspondence therefor,

(d) Acting as, or appointing or causing another person to act as, a trustee of a legal arrangement or other legal arrangements of a similar nature, or

(e) Acting or causing another person to act as a shareholder nominated on behalf of any person under the prevailing law.

(6) Other professionals or businesses specified by the Nepal Government by publishing a notice in the Nepal Gazette.

(o) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

(p) "Bearer negotiable instrument" means a monetary instrument, including a negotiable instrument such as a traveller's cheque, cheque, promissory note or money order, which is in complete or incomplete form, anonymous or in a fictitious name, or which the holder can use without anyone's authorization, or which can be paid to whoever obtains it.

(p1) [11]"Board of Directors" means the Board of Directors referred to in Section 7W.

(q) "Regulator" means an institution established under the prevailing law to regulate or supervise reporting entities, and this term also includes the regulator designated by the Nepal Government under sub-section (2) of Section 7T.

(r) "Currency" means Nepali currency or foreign currency.

(s) "Rastra Bank" means the Nepal Rastra Bank established under the prevailing law.

(t) "Public servant" means a person deemed to be a public servant under the prevailing law.

(u) "Beneficial owner" means a natural person who, directly or indirectly, owns, controls, directs or can influence a customer, transaction, property, legal person or legal arrangement, or who is the ultimate beneficiary or owner thereof.

(v) "Financial Information Unit" means the Financial Information Unit referred to in Section 9.

(w) "Financial institution" means a person who carries out any of the following acts on a commercial basis for or on behalf of his or her customer:-

(1) Accepting deposits or receiving other amounts repayable from the public,

(2) Carrying out acts relating to private banking,

[11]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(3) Providing loans of any kind,

(4) Carrying out acts relating to financial leasing, except for consumable goods,

(5) Transferring money or value (value transfer), except when acting as a medium or other ancillary service provider in a payment chain,

(6) Issuing or managing payment instruments of any kind, electronic or otherwise, including cheques, drafts, money orders, debit cards and credit cards,

(7) Providing financial guarantees or commitments,

(8) Carrying on business in the following instruments:-

(a) Money market instruments, including cheques, bills, certificates of deposit and derivatives,

(b) Foreign exchange,

(c) Instruments having exchange, interest rate or other similar value or amount,

(d) Transferable securities, or

(e) Instruments relating to the commodity exchange market (commodities market).

(9) Issuing securities or providing financial services related thereto,

(10) Managing individual or collective portfolios,

(11) Managing cash or liquid assets, or managing safe deposits (lockers), on behalf of other persons,

(12) Underwriting and placement of life insurance and other investments related to insurance,

(13) Exchanging money or currency,

(13a) [12]For the purposes of Sections 7B, 7D, 7P, 7S and 10A, carrying out the work of an investment company, equity fund or similar work,

(14) Investing funds on behalf of other persons, and administering and managing the same, except for the acts referred to in sub-clauses (1) to (13), or

(15) Carrying out acts specified by the Nepal Government by publishing a notice in the Nepal Gazette.

[12]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(x) "Foreign high-ranking person" means a foreign head of state, head of government, senior politician, central office-bearer of a national level political party, senior administrator, senior judicial officer, senior security officer and senior office-bearer of a state-controlled institution, and this term also includes a person who holds or has held such responsibility.

(y) "Department" means the Department of Money Laundering Investigation referred to in Section 11.

(z) "Person" means a natural person or a legal person.

(aa) "Suspicious transaction report" means the report referred to in Section 7S.

(bb) "Shell bank" means a financial institution or a group of financial institutions which has no physical presence in the country in which it is established or licensed, or which is not within any scope of effective regulation and supervision.

Explanation: For the purpose of this clause, a situation where only a local representative or a lower level employee is present shall be deemed as not having a physical presence.

(bb1)[13]"Coordination Committee" means the Coordination Committee referred to in Section 7X.

(cc) "Offence relating to money laundering and financing of terrorist acts" means an offence under Chapter-2.

(dd) "Predicate offence" means an offence mentioned in the Schedule.

(ee) "Property" means property of any kind, whether physical or non-physical, movable or immovable, tangible or intangible, fund, or any goods or instrument having any value, and this term also includes any kind of document, deed, certificate or electronic or other instrument establishing a right, interest, claim or title over the same.

(ff) "Reporting entity" means a financial institution or a non-financial professional or business.

(gg) [14]"Domestic high-ranking person" means the President, Vice-President, Prime Minister, Chief Justice, Speaker of the House of Representatives, Chairperson of the National Assembly, Chief of Province, Minister of the Nepal Government, Chief Minister of a Provincial Government, member of the Federal Parliament, office-bearer of a constitutional body, Speaker of a Provincial Assembly, Minister of a Provincial Government, officer of the special class of the Nepal Government or equivalent or above, judge of the High Court or judge of a higher level, Deputy

[13]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[14]Amended by the Act Amending Some Nepal Acts, 2075.

Speaker of a Provincial Assembly, member of a Provincial Assembly, central office-bearer of a national level political party, chief and deputy chief of a District Coordination Committee, mayor and deputy mayor of a Municipality, chairperson and vice-chairperson of a Rural Municipality, and senior office-bearer of an institution wholly or partly owned by the Nepal Government, and this term also includes a person who holds or has held such responsibility.

Chapter-2
Offence Relating to Money Laundering and Financing of Terrorist Acts[15]

3. Assets not to be laundered:–

(1) No person shall do, or cause to be done, any of the following acts:-

(a) Converting or transferring property in any manner, knowingly or having reasonable grounds to believe that it is proceeds of crime, with the purpose of concealing or disguising the illicit origin of the property or assisting any person involved in the offence to evade legal action,

(b) Concealing, disguising or altering the true nature, source, location, disposition, movement or ownership of property, or rights over such property, knowingly or having reasonable grounds to believe that it is proceeds of crime, or

(c) Acquiring, using or possessing property, knowingly or having reasonable grounds to believe that it is proceeds of crime.

(2) No person shall conspire, aid, abet, facilitate, counsel or attempt, or associate or participate or be an accomplice, in any act referred to in sub-section (1).

(3) If anyone commits any act referred to in sub-section (1) or (2), such act shall be an offence of money laundering.

4. Not to finance terrorist acts:–

(1) No person shall wilfully, with unlawful intention, provide or collect, directly or indirectly, by any means, property or funds [16]to a person or organization, knowing that such property or funds are to be used or may be used, wholly or partly, in a terrorist act or by a terrorist [17], a terrorist organization or a foreign terrorist fighter.

(2) No person shall [18]counsel, facilitate, abet, aid or attempt any act referred to in sub-section (1).

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[15]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[16]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[17]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[18]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(3) No person shall provide, directly or indirectly, by any means, material assistance or resources for committing a terrorist act, or to a terrorist [19], a terrorist organization or a foreign terrorist fighter, or conspire to do so.

(4) No person shall do any of the following acts in relation to any act referred to in sub-section (1), (2) or (3):-

(a) Acting as an accomplice to commit such act,

(b) Organizing or directing other persons to commit such act, or

(c) Knowingly contributing to a group of persons committing such act or having a common purpose of committing such act, in order to further the criminal activity or achieve such purpose.

(5) Financing of terrorist acts shall be constituted in relation to the acts referred to in this Section even if the following circumstances exist:-

(a) If the terrorist act has not taken place or has not been attempted,

(b) If the property or funds have not actually been used in any terrorist act or attempt thereof,

(c) Whether or not the property or funds are related to any particular terrorist act,

(c1) [20]If property or funds have been provided, directly or indirectly, for the expenses of travel or other similar acts of a person who travels from one country or place to another country or place for the purpose of preparing for, planning, participating in, committing or causing to be committed a terrorist act, or for giving or receiving training, knowingly,

(d) If the terrorist act, or the act sought to be committed as a terrorist act, has taken place or is to take place in the country or territory where such act took place or was sought to be committed, or anywhere else,

(e) If the [21]terrorist, terrorist organization or foreign terrorist fighter is or is not located in the country or territory where the person committing such act is located, or is located elsewhere, or

(f) If the property or funds have been collected or provided from any source or by any means, legal or illegal.

(6) If any person commits any act referred to in sub-section (1), (2), (3), (4) or (5), such act shall be an offence relating to the financing of terrorist acts.

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[19]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[20]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[21]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

4A. Deemed to have committed offence[22]:–

If a person who has the responsibility to comply with, or cause to be complied with, any standard issued under this Act violates, or causes to be violated, such standard with the intention of committing, or causing to be committed, an offence under Section 3, 4 or 5, he or she shall be deemed to have committed an offence.

5. Acts committed abroad to be offences:–

If any act referred to in Section 3 or 4 has been committed in a foreign country or territory and such act is also an offence under the law of that country, such act shall be deemed to be an offence relating to money laundering and financing of terrorist acts committed in Nepal.

Chapter-3
Provisions relating to Customer Identification and Transactions[23]

6. Not to carry out transactions in anonymous or fictitious names:–

A reporting entity shall not open an account, or carry out or cause to be carried out any kind of transaction, in an anonymous or fictitious name.

7. Not to establish or operate shell banks:–

(1) No one shall establish and operate a shell bank in Nepal or through the territory of Nepal.

(2) No financial institution of Nepal shall establish or continue a business relationship with a shell bank or with any financial or other institution that allows a shell bank to carry out transactions.

7A. Customer to be identified:–

(1) A reporting entity shall, while carrying out the following acts, properly identify the customer and verify the same on the basis of documents, data or information obtained from a reliable source, subject to sub-sections (3) and (4):-

(a) While establishing a business relationship,

(b) While opening an account,

(c) While carrying out an occasional transaction exceeding the prescribed amount,

(d) While transferring funds through electronic means (wire transfer),

(e) While further verification is required due to doubt about the veracity or adequacy of information previously obtained for customer identification,

[22]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[23]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(f) While further verification is required due to suspicion of money laundering or financing of terrorist acts,

(g) In each transaction carried out by a high-risk customer or a high-ranking person, or

(h) While carrying out any other act specified by the regulator.

(2) The minimum documents to be obtained from a customer by a reporting entity while identifying the customer shall be as prescribed.

(3) A reporting entity shall, while identifying a customer and verifying the identification under this Chapter, use documents, data or information from an independent and reliable source.

(4) A reporting entity shall adopt the following measures to properly identify and verify its customers:-

(a) Obtaining appropriate notice and information about the transaction or business relationship and its purpose or intended nature,

(b) If the customer is a natural person, obtaining details including his or her name, address and date of birth on the basis of documents, including those prescribed under sub-section (2),

(c) If the customer is a legal person or legal arrangement, obtaining and verifying notice and information about its ownership and control structure on the basis of documents, including those prescribed under sub-section (2),

(d) If a business relationship is to be established or a transaction is to be carried out on behalf of another person, identifying and verifying the person on whose behalf such relationship or transaction is sought to be established or carried out and the person acting on his or her behalf, and obtaining documents including the power of attorney,

(e) Obtaining other necessary notice and information relating to the type and nature of the customer, transaction or business in order to fulfil the obligations under this Chapter,

(f) Adopting other measures specified by the regulator.

(5) Notwithstanding anything contained in sub-section (1), it shall not be mandatory for the following reporting entities which are non-financial professionals or businesses to identify and verify the following customers:-

(a) For a casino, the customer involved in transactions of two lakh rupees or less in one day,

(b) For a business dealing in precious metals and goods, the customer carrying out transactions of an amount of ten lakh rupees or less in one day.

(6) The entire responsibility for the proper identification of its customer and the verification of the identification under this Chapter shall lie with the concerned reporting entity.

7B. Special provisions relating to identification of high-ranking persons:–

(1) A reporting entity shall make arrangements for a risk management system to ascertain whether or not its customer, beneficial owner or a person seeking to be a customer is a high-ranking person.

(2) A reporting entity shall, while establishing a business relationship or carrying out a transaction with a foreign high-ranking person who is a customer or beneficial owner, and with a high-ranking person of an international organization or a domestic high-ranking person who appears to be of high risk for business reasons, adopt the following additional measures:-

(a) Obtaining the approval of a senior officer who looks after the management of the reporting entity before establishing a business relationship,

(b) Obtaining the approval referred to in clause (a) immediately if it becomes known that an existing customer is a high-ranking person,

(c) Adopting adequate measures to identify the source of the property and funds of the customer or beneficial owner,

(d) Continuously monitoring the customer and the business relationship or transaction with him or her,

(e) Adopting the measures relating to enhanced customer due diligence under Section 7E.

(3) The provisions referred to in sub-sections (1) and (2) shall also apply in the case of the family members and close associates of a high-ranking person.

7C. Beneficial owner to be identified:–

(1) A reporting entity shall, while establishing a business relationship or carrying out a transaction, adopt necessary reasonable measures to identify and verify the beneficial owner.

(2) A reporting entity shall ascertain whether or not any person has carried out acts relating to the establishment of a business relationship or a transaction on behalf of any other person.

(3) If, while ascertaining under sub-section (2), it appears that any person has established a business relationship or carried out a transaction on behalf of another person, the reporting entity shall adopt the measures referred to in clause (d) of sub-section (4) of Section 7A in relation to the identification and verification of such person.

7D. Risk to be identified, assessed and managed:–

(1) A reporting entity shall identify and assess the risk relating to money laundering and financing of terrorist acts on the basis of, inter alia, its country, geographical area, business or profession, area of work, customer, service or product, transaction and delivery channel.

(2) While identifying and assessing the risk under sub-section (1), the reporting entity shall also take as a basis the national risk assessment or the risk assessment made by the regulator.

(3) While assessing the risk under sub-section (1), the reporting entity shall determine the level of risk by analysing all aspects related to the risk.

(4) The reporting entity shall keep in writing the records relating to all details, information and findings relating to the risk assessment made under this Section.

(5) The reporting entity shall carry out the risk assessment under sub-section (1) periodically and update it as required.

(6) The reporting entity shall make available the records referred to in sub-section (4) to the concerned regulator, and shall also make such records available to other related bodies if so demanded by such bodies.

(7) The reporting entity shall make necessary policy, procedural and control arrangements for customer identification, management and mitigation of risk in accordance with the level of risk identified under this Section, and update such arrangements from time to time.

(8) The reporting entity shall regularly monitor whether or not the policy, procedural and risk management arrangements referred to in sub-section (7) have been implemented.

7E. Provisions relating to enhanced customer due diligence:–

(1) A reporting entity shall adopt appropriate measures relating to enhanced customer due diligence while establishing a business relationship or carrying out a transaction with the following customers:-

(a) A customer found to be of high risk from the risk assessment made under Sections 7D, 7U and 35,

(b) A customer carrying out complex, large or unusual transactions without an apparent economic or legal purpose,

(c) A customer of a country internationally identified as not complying, or only partially complying, with the international standards relating to the prevention of money laundering and financing of terrorist acts,

(d) A high-ranking person, a family member of such person and a person or customer associated with him or her,

(e) A customer carrying out transactions referred to in sub-section (1) of Section 7N,

(f) A customer using a high-risk new instrument (product) or service,

(g) A customer suspected of an offence relating to money laundering and financing of terrorist acts or any other offence, or

(h) Other customers specified by the regulator.

(2) While carrying out enhanced customer due diligence of the customers referred to in sub-section (1), the reporting entity shall also adopt additional measures determined by the regulator.

(3) Other provisions relating to enhanced customer due diligence shall be as prescribed.

7F. Provisions relating to simplified customer identification:–

(1) A reporting entity may adopt simplified customer identification and verification arrangements in respect of customers or transactions found to be of low risk relating to money laundering and financing of terrorist acts.

(2) The simplified customer identification and verification arrangements referred to in sub-section (1) shall not be adopted in the case of high-risk customers or transactions, or transactions suspected of money laundering and financing of terrorist acts.

(3) Other provisions relating to simplified customer identification and verification shall be as prescribed.

7G. Provisions relating to identification of existing customers:–

(1) A reporting entity shall review the identification and verification of, and the adequacy thereof in respect of, existing customers and beneficial owners who were operating accounts or maintaining business relationships at the time of commencement of this Section, and identify and verify customers under this Chapter on the basis of the type and nature of such customers and beneficial owners and the risk of the business relationship, transaction, product or service, country or geographical area or delivery channel.

(2) The period for identifying and verifying customers under sub-section (1) shall be as specified by the regulator.

7H. Time for identifying customers:–

(1) A reporting entity shall identify and verify the customer and the beneficial owner before opening an account or maintaining a business relationship, during the existence of a business relationship and while carrying out an occasional transaction.

(2) Notwithstanding anything contained in sub-section (1), the reporting entity may, if the following circumstances exist, verify the identification of the customer as soon as possible

[24]within a maximum of three days after establishing the business relationship or carrying out the transaction:-

(a) If the reporting entity is confident that the identification can be verified at any time in practice,

(b) If it is not possible to verify the customer identification immediately for practical reasons, and verifying the identification may cause obstruction to the normal conduct of business and it is not necessary to cause such obstruction, and

(c) If there exists a situation in which the risk relating to money laundering and financing of terrorist acts can be managed effectively.

(3) Notwithstanding anything contained in sub-section (2), the reporting entity shall verify the identification of the customer and the beneficial owner under sub-section (1) in respect of the following customers and transactions:-

(a) If the customer appears to be a risky person or a high-ranking person, or a family member or close associate of such person, or

(b) If the activities of the customer appear to be suspicious.

7I. Ongoing monitoring:–

A reporting entity shall carry out ongoing monitoring (ongoing due diligence) in respect of a customer, beneficial owner or transaction by doing the following acts:-

(a) Carrying out scrutiny so long as the business relationship with the customer continues, in order to ensure whether or not the transactions are consistent with the information available with it about the customer and his or her business or risk profile,

(b) Demanding from or examining the source of property of the customer if necessary for the scrutiny under clause (a),

(c) Reviewing and updating the existing documents and details in order to ensure that the documents and details relating to customers, including high-ranking persons or high-risk customers, and the business relationship, transactions and beneficial owners with them, are up to date,

(d) Regularly monitoring transactions and customers relating to cross-border correspondent banking and wire transfers,

(e) Doing other acts as specified by the regulator, and

(f) Doing other acts as the reporting entity itself deems appropriate.

[24]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

7J. Customer identification and verification may be carried out through third party:–

(1) A reporting entity may cause some acts relating to customer identification and verification to be carried out through a third party in the following circumstances:-

(a) If the reporting entity is confident that the customer identification and verification will be carried out under this Chapter,

(b) If information about all documents and details used for the customer identification and verification required under this Chapter will be immediately available to the reporting entity, and

(c) If it is ensured that all documents, details and information used for customer identification and verification will be available without any delay when demanded by the reporting entity.

(2) Notwithstanding anything contained in sub-section (1), a reporting entity shall not accept the customer identification and verification made by an institution acting as the following third party:-

(a) If such institution is of a country identified as not complying, or only partially complying, with the international standards relating to the prevention of money laundering and financing of terrorist acts,

(b) If the provisions under this Chapter relating to customer identification and verification do not exist in such institution, or

(c) If such institution is not within the scope of regulation, inspection and supervision relating to the prevention of money laundering and financing of terrorist acts.

(3) Even if customer identification and verification has been carried out through a third party under sub-section (1), the ultimate responsibility for customer identification and verification under this Chapter shall lie with the reporting entity.

7K. Provisions relating to new technology or non-face-to-face customers or transactions:–

(1) A reporting entity shall identify and assess the risk relating to money laundering and financing of terrorist acts that may arise from existing or new instruments and business practices, non-face-to-face customers or transactions, delivery systems or new or developing technologies.

(2) The identification and assessment of risk under sub-section (1) shall be made before bringing such instrument, business practice, delivery system or technology into use.

(3) The reporting entity shall adopt adequate measures to manage the risk identified and assessed under sub-section (1).

(4) The reporting entity shall formulate and implement policies and procedures relating to customer identification and verification to address the specific risks relating to money

laundering and financing of terrorist acts that may arise while establishing a business relationship or carrying out transactions with non-face-to-face customers.

7L. Obligations relating to wire transfers:–

(1) A financial institution shall, before carrying out a wire transfer of any currency or any amount under the prevailing law, properly identify and verify the customer by obtaining the following details and information:-

(a) Name of the originator,

(b) Account number of the originator and, where there is no account, a unique reference number by which the transaction can be identified,

(c) Address of the originator or, where there is none, his or her date and place of birth, citizenship number, national identity card number or customer identification number,

(d) Name and account number of the beneficiary and, where there is no account, a unique reference number by which the transaction can be identified,

(e) Other details or information specified by the regulator.

Explanation: For the purpose of this Section, "originator" also includes the beneficial owner who sends money through a wire transfer.

(2) The provisions referred to in sub-section (1) shall also apply in the case of wire transfers bundled in a batch file.

(3) The provisions referred to in sub-section (1) shall not apply to a wire transfer resulting from the purchase of goods or services through a debit card, credit card or prepaid card in such a manner that the transaction appears on the card, and the provisions of sub-section (1) or (2) shall not apply while financial institutions themselves carry out wire transfers to their own accounts among themselves.

(4) If the originator or beneficiary is its existing customer, the transaction to be carried out by him or her does not appear to carry a risk of offence, and the financial institution is satisfied that he or she has been properly identified and verified, the financial institution may not carry out the customer identification and verification under sub-section (1).

(5) A financial institution may not obtain the details or information referred to in clause (c) of sub-section (1) while carrying out a wire transfer of a customer of a value of seventy-five thousand rupees or less.

(6) A financial institution shall attach the details referred to in sub-section (1) with the payment message of the wire transfer to the financial institution within the payment chain or to the paying financial institution.

(7) Any financial institution of Nepal acting as an intermediary in, or paying, a wire transfer shall ensure that the details referred to in sub-section (6) have been received.

(8) If the necessary documents or details referred to in sub-section (7) are found to be missing, the financial institution shall demand them from the remitting financial institution or the financial institution within the payment chain.

(9) If the details demanded under sub-section (8) cannot be obtained, the financial institution of Nepal paying or acting as an intermediary may suspend, reject or pay such wire transfer on the basis of the policies and procedures referred to in sub-section (10).

(10) A financial institution of Nepal carrying out transactions relating to wire transfers under the prevailing law shall formulate and implement risk-based policies and procedures on matters including the monitoring, inquiry, suspension and rejection of wire transfers, identification of beneficial owners and beneficiaries, and payment.

(11) A financial institution shall, while carrying out transactions relating to wire transfers, carry out necessary monitoring to ascertain whether or not the details of the originator or beneficiary under this Section exist.

(12) A financial institution carrying out acts relating to wire transfers of an amount of seventy-five thousand rupees or more shall properly identify the beneficiary while paying such amount.

(13) A financial institution sending money or value through wire transfer, acting as an intermediary or paying shall keep safe all records and details relating to wire transfers for at least five years from the date of the transaction.

(14) A financial institution sending money or value through wire transfer, acting as an intermediary or paying shall immediately freeze the money of a person, group or organization referred to in Chapter 6B and make arrangements so that no one can carry out transactions therewith.

(15) A financial institution carrying out transactions relating to wire transfers shall make the following arrangements in respect of its agents:-

(a) Implementing programmes relating to the prevention of money laundering and financing of terrorist acts, and monitoring whether or not they have been complied with,

(b) Preparing up-to-date details of agents and publishing them publicly on its website.

(16) The Rastra Bank may make additional necessary and appropriate arrangements in respect of wire transfers.

7M. Provisions relating to cross-border correspondent banking relationships:–

(1) A financial institution shall, while maintaining cross-border correspondent banking relationships and carrying out transactions under the prevailing law, adopt the following measures:-

(a) Identifying and verifying the respondent financial institution,

(b) Gathering sufficient information about the activities carried out by the respondent financial institution,

(c) Fully understanding the nature of the business carried out by the respondent financial institution on the basis of, inter alia, the information obtained under clause (b),

(d) Assessing, on the basis of publicly available information, the reputation of the respondent financial institution, the quality of supervision over it, and whether or not it has been subject to investigation or regulatory action relating to money laundering and financing of terrorist acts,

(e) Assessing the system of control of money laundering and financing of terrorist acts of the respondent financial institution and the adequacy thereof,

(f) Obtaining the approval of a senior officer looking after its management before maintaining a correspondent banking relationship,

(g) Clearly understanding the respective responsibilities relating to the prevention of money laundering and financing of terrorist acts,

(h) Ensuring, in respect of customers using payable-through accounts, whether or not the respondent financial institution has complied with the provisions relating to customer identification and verification under this Chapter, whether or not it has implemented a regular monitoring system over such customers, and whether or not it is able to provide the necessary details to it when demanded,

[25]Explanation: For the purpose of this clause, "payable-through account" means a correspondent account that is also used directly by a third party having a transaction relationship.

(i) Ensuring that it does not establish a business relationship or carry out transactions with a shell bank and, if being carried out, does not continue the same, and

(j) Ensuring that the respondent financial institution does not permit any shell bank to use its account.

(2) A financial institution shall comply with the provisions referred to in sub-section (1) while carrying out business relationships or transactions relating to cross-border correspondent banking, whether on its own or on behalf of its customers.

7N. Special attention to be paid to particular transactions:–

(1) A reporting entity shall pay special attention to the following transactions:-

(a) All complex, large or unusual transactions without an apparent economic or legal purpose,

[25]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(b) Business relationships or transactions with persons, institutions or legal arrangements of a country identified as not complying, or only partially complying, with the international standards relating to the prevention of money laundering and financing of terrorist acts, or

(c) Other transactions specified by the regulator.

(2) A reporting entity shall examine, as far as possible, the background and purpose of the transactions referred to in sub-section (1) and keep a written record of the findings obtained therefrom.

(3) A reporting entity shall keep the record referred to in sub-section (2) safe for at least five years and make it available immediately when demanded by the Financial Information Unit, the regulator or an authorized officer.

7O. Transactions not to be carried out:–

(1) A reporting entity shall not open an account of, or maintain a business relationship or carry out transactions with, the following customers:-

(a) A customer who does not make available the documents, details and information necessary for customer identification and verification under this Chapter, or

(b) A customer who cannot be identified and verified on the basis of the documents, details and information made available under this Chapter.

(2) If the circumstance referred to in sub-section (1) exists in respect of an existing customer, the reporting entity shall terminate the business relationship with such customer and, if necessary, also inform the Financial Information Unit thereof.

7P. Obligations of reporting entity:–

(1) A reporting entity shall, for the implementation of this Act, the Rules framed under this Act, the directives issued or the directions given, formulate and implement policies and procedures relating to the prevention of money laundering and financing of terrorist acts on the basis of its country, geographical area, area of work, size of business, customers, transactions and risk.

(2) The policies and procedures referred to in sub-section (1) shall include the following matters:-

(a) Arrangements relating to internal policies, processes and controls in respect of customer identification, business relationships, monitoring, reporting of transactions, records and other obligations,

(b) Arrangements relating to ongoing monitoring,

(c) Arrangements for complying with, or causing compliance with, this Act, the Rules framed under this Act, or the directives issued or directions given,

(d) Adequate procedural arrangements on matters including recruitment of employees in order to maintain employees of high integrity,

(e) Arrangements for regular training and refresher training to employees,

(f) Effective arrangements for independently monitoring, inspecting and auditing activities and updating records,

(g) Arrangements relating to the identification and reporting of suspicious transactions,

(g1) [26]Arrangements for exchanging information with the concerned institutions in the course of work or transactions relating to Sections 7J, 7L and 7M,

(g2) [27]Arrangements relating to risk management in respect of the verification of customer identification and the use of business relationships and the compliance with conditions,

(h) Other arrangements necessary to fulfil the obligations under this Act, the Rules framed under this Act, or the directives issued or directions given, and to assess the effectiveness thereof, and

(i) Other arrangements specified by the regulator.

(3) A reporting entity shall appoint a management level compliance officer in order to continuously fulfil the obligations under this Act, the Rules framed under this Act, or the directives issued or directions given.

(4) A reporting entity shall ensure that the following functions, duties and powers, and the resources necessary therefor, are available to the compliance officer referred to in sub-section (3):-

(a) To have access to any records, accounts and accounting documents necessary in the course of performing his or her functions,

(b) To demand and obtain any notice, information, details or documents from the concerned employees of the reporting entity,

(c) To perform other acts necessary for the implementation of this Act, the Rules framed under this Act, or the directives issued or directions given, and

(d) To perform other acts specified by the regulator.

(5) A reporting entity shall update its risk-based institutional policies, procedures and action plans at least once a year, and more than once as required, on the basis of, inter alia, changes in the prevailing law, risk assessment, changes in business and [28]technology, and

[26]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[27]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[28]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

changes in the methods and trends of committing offences, and submit them to the regulator.

(6) A reporting entity shall make arrangements to carry out customer identification, monitoring of transactions, identification of [29]transactions above the specified limit or suspicious transactions and the grounds thereof, risk assessment and management, implementation of policies and procedures, and other activities required to be carried out under this Act, also through electronic means.

Provided that the regulator may, on the basis of risk assessment, exempt a reporting entity of a sector found to be of low risk from carrying out any activity under this sub-section through electronic means.

7Q. Obligations of branch office or subsidiary company:–

(1) A reporting entity operated in Nepal or abroad under the same group, or a reporting entity establishing a branch office abroad or an institution with majority ownership abroad, shall comply on a group basis with the provisions relating to the prevention of money laundering and financing of terrorist acts under this Act, the Rules framed under this Act, or the directives issued or directions given.

Explanation: For the purpose of this Section, "majority ownership" means ownership of fifty percent or more.

(2) The reporting entity referred to in sub-section (1) shall formulate and implement group-wide policies and procedures relating to the prevention of money laundering and financing of terrorist acts, including the following matters:-

(a) Exchanging information relating to customer identification and verification and the management of risk relating to money laundering and financing of terrorist acts,

(b) Exchanging information on a group basis, as specified by the regulator, including information on customers, transactions, accounts, audit, group compliance and programmes relating to the prevention of money laundering and financing of terrorist acts, and

(c) Adequate arrangements for the use of the information exchanged under clause (a) or (b) and the protection of confidentiality.

(3) If it is difficult to comply with the provisions referred to in sub-sections (1) and (2) by reason of the law of the concerned country, the reporting entity operated under the same group, or the reporting entity establishing a branch office abroad or an institution with majority ownership, shall inform the regulator, and such institution shall adopt additional measures to manage the risk relating to money laundering and financing of terrorist acts.

[29]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(4) If the additional measures adopted under sub-section (3) appear to be insufficient to manage the risk relating to money laundering and financing of terrorist acts, the regulator may take action under Section 7V against the branch office opened abroad or the institution established with majority ownership, or cause such branch or institution to be closed.

7R. Records to be kept safe:–

(1) A reporting entity shall keep the following documents, details and records properly, systematically and safely for at least five years from the date of termination of the business relationship, or of the transaction, or of the occasional transaction:-

(a) Records relating to the identification and verification of customers and beneficial owners,

(b) All documents, details and records relating to the findings and reports of the analysis made in respect of customers, beneficial owners and transactions,

(c) Accounts and business documents, details and records of the reporting entity,

(d) All necessary documents, details and records relating to domestic or foreign transactions,

(e) Documents, details and records of attempts made to carry out transactions, and

(f) Other documents, details and records as specified by the regulator.

(2) Notwithstanding anything contained in sub-section (1), the reporting entity shall keep the prescribed documents, details and records safe for such additional period as prescribed, not being less than five years.

(3) While keeping the documents, details and records under sub-section (1) or (2), the reporting entity shall keep them in such a manner that each transaction is clearly shown and they can be used as evidence in the course of legal proceedings.

(4) The documents, details and records kept under this Section shall be kept in such a manner that they can be made available immediately when demanded by an authorized officer.

(5) A reporting entity shall keep suspicious transaction reports safe for five years.

[30](5a) A reporting entity shall keep confidential the notice and details obtained from a customer under this Act or the prevailing law, except where they are required to be disclosed under the prevailing law. If anyone breaches such confidentiality, the regulator may take action against such reporting entity under Section 7V.

[30]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(6) Other provisions relating to the keeping of documents, details and records safe by a reporting entity shall be as prescribed.

7S. Suspicious transaction report to be submitted:–

(1) If the following circumstance exists in respect of a customer, transaction or property, a reporting entity shall, [31]upon inquiry thereof, immediately submit a suspicious transaction report to the Financial Information Unit:-

(a) If it suspects, or has reasonable grounds to suspect, that any property is related to an offence relating to [32]money laundering, terrorist acts or proliferation financing of weapons of mass destruction, or any other offence, or

(b) If it suspects, or has reasonable grounds to suspect, that any property is related or linked to, or may be used for, a terrorist act, terrorist, terrorist organization or financing of terrorist acts, or in such act or by such person or organization.

(2) A reporting entity shall submit the suspicious transaction report referred to in sub-section (1) even if the customer has only attempted to carry out a transaction.

[33](2a) If the reporting entity believes that the customer may come to know of it while identifying or verifying, or doing any other similar act in respect of, a customer in whose case a suspicious transaction has appeared under sub-section (1) or (2), it shall update the customer identification or verification after submitting the suspicious transaction report.

(3) Additional grounds for identifying suspicious transactions, and the format, system and procedure of the suspicious transaction report, shall be as specified by the Financial Information Unit.

7S1. Provisions of this Chapter to be implemented[34]:–

A reporting entity shall also implement the provisions of this Chapter in the context of proliferation financing of weapons of mass destruction.

Chapter-3A
Provisions relating to Regulation and Supervision of Reporting Entities[35]

7T. Regulation and supervision of reporting entities:–

(1) Reporting entities shall be regulated and supervised by the regulator established under the prevailing law as to whether or not they have carried out activities under this Act.

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[31]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[32]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[33]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[34]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[35]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(2) If there is no provision in the prevailing law regarding the regulator of any reporting entity, the Nepal Government may, in consultation with the Coordination Committee, designate any body, or any institution acting as a regulator, to act as the regulator of such reporting entity by publishing a notice in the Nepal Gazette.

(3) In regulating and supervising reporting entities, the regulator shall, in addition to the functions, duties and powers mentioned in the prevailing law, also perform and exercise the functions, duties and powers under this Act.

7U. Functions, duties and powers of regulator:–

(1) For the purpose of this Act, the functions, duties and powers of the regulator shall be as follows:-

(a) To identify, assess and monitor the risk of its area of work and of the reporting entities to be regulated and supervised by it, periodically or as required, and to adopt adequate and effective measures to manage the risk,

(b) To cause the reporting entities to be supervised by it to adopt adequate and effective measures to identify, assess, monitor and manage risk, periodically or as required,

(c) To comply with, or cause compliance with, this Act, the Rules framed under this Act, or the directives issued or directions given,

(d) To specify, while registering any business or profession to be carried on by a reporting entity or while granting a permit or licence for business, a condition that the person carrying on the profession or business shall fulfil the activities and obligations under this Act,

(e) To make and implement, or cause to be implemented, standards relating to the measurement of fit and proper qualifications, including the [36]financial status, unlawful earnings or direct or indirect criminal involvement, of a person who, directly or indirectly, owns, controls or participates in the incorporation, establishment, operation, management or activities of a reporting entity, or who is its beneficial owner or beneficiary, while registering such reporting entity or granting a permit or licence for business,

(f) To cause compliance with the provisions relating to the prevention of money laundering and financing of terrorist acts inherent in the core principles relating to the prudential supervision of reporting entities,

(g) To carry out on-site inspection, off-site supervision or monitoring of reporting entities, as required, as to whether or not the provisions of this Act, the Rules framed under this Act, or the directives issued or directions or orders given have been complied with,

[36]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(h) To issue directions under sub-section (2) and determine, or cause to be determined, necessary additional measures for the reporting entities to discharge the obligations under Chapter-3,

(i) [37]To issue necessary directions or standards relating to customers of countries internationally identified as not complying, or only partially complying, with the international standards relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction, customer identification, transactions and the risk assessment to be made by the reporting entity in that respect, and to monitor whether or not they have been complied with,

(j) To order a reporting entity to make available any kind of notice, information and documents held by it in order to cause it to comply with the obligations under this Act, the Rules framed under this Act, or the directives issued or directions given,

(k) To provide necessary cooperation in acts relating to the investigation of offences,

(l) To carry out a special assessment as to whether or not the reporting entity has made arrangements for the identification, assessment and reporting of suspicious transactions under Section 7S and implemented them effectively, if there is suspicion, or reasonable grounds to suspect, of an offence relating to money laundering and financing of terrorist acts or any other offence,

(m) [38]To inform the Financial Information Unit if a reporting entity has not submitted a suspicious transaction report or if a suspicious transaction or act appears to have taken place in a reporting entity, and to write to the authorized officer for investigation if a criminal act appears to have been committed,

(m1) [39]To regularly publish notices on its website about the classification made public by the concerned intergovernmental international organization in the context of compliance with matters including the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction,

(n) To make or cause to be made arrangements for training on the prevention of money laundering and financing of terrorist acts to reporting entities, and

(o) To perform such other functions as prescribed.

(2) The regulator may, as required, issue orders or directions to reporting entities, or make standards and cause them to be implemented, in order to prevent money laundering and

[37]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[38]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[39]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

terrorist acts and to act, or cause action, in accordance with the international standards related thereto.

(2a) The regulator shall also exercise the functions, duties and powers under sub-section (1) or (2) in relation to the [40]prevention of proliferation financing of weapons of mass destruction.

(3) The regulator regulating and supervising financial institutions may, together with the domestic or foreign regulators of reporting entities carrying on the same or different kinds of business under the same group, carry out joint regulation and supervision, or exchange notices and information relating to the regulation and supervision of such reporting entities.

(4) The regulator may make necessary arrangements for exchanging mutual cooperation with bodies of other countries performing similar functions on matters including arrangements, notices or information relating to regulation and supervision in respect of the prevention of money laundering and financing of terrorist acts.

(5) Other provisions relating to the exchange of cooperation by the regulator shall be as prescribed.

7V. Action may be taken against reporting entity:–

(1) The regulator may take any or all of the following actions against, and impose penalties on, a reporting entity which does not comply with this Act, the Rules framed under this Act, the directives issued, or the orders or directions given or the standards issued under sub-section (2) of Section 7U:-

(a) Cautioning in writing,

(b) If this Act, the Rules framed under this Act, or the directives issued or orders or directions given have been violated, imposing a fine, on the basis of the gravity thereof, from ten lakh rupees to five crore rupees on a casino business or financial institution, and from one lakh rupees to one crore rupees on other reporting entities,

(b1) [41]If this Act, the Rules framed under this Act, or the directives issued or orders or directions given have been violated repeatedly, imposing the maximum fine referred to in clause (b) for each violation, on the basis of the seriousness of such violation, the risk and the capital or annual turnover of the reporting entity,

(c) Imposing a partial or complete restriction on carrying out transactions, profession or business,

(d) Suspending the permit, licence or registration, or

[40]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[41]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(e) Cancelling the permit, licence or registration.

(2) If the punishment referred to in sub-section (1) appears to be insufficient to punish a reporting entity for the violation of this Act, the Rules framed under this Act, or the directives issued or directions or orders given, the regulator may impose appropriate punishment under the prevailing law.

(3) While imposing punishment on a reporting entity under sub-section (1) or (2), the regulator shall impose it in such a manner that such punishment is effective, proportionate and dissuasive.

(4) If the regulator has taken action against, or imposed punishment on, a reporting entity under this Section, and it appears that such punishment has been caused by the acts of any office-bearer or employee of the reporting entity, the reporting entity shall take necessary action against such office-bearer or employee in accordance with the prevailing law and the law of such reporting entity.

[42](4a) If the reporting entity does not take action under sub-section (4), the regulator may, exercising the powers of the reporting entity, take necessary action against such office-bearer or employee, and may impose a fine under clause (b) of sub-section (1) on, or remove from office, or take both actions against, the director or concerned office-bearer of the reporting entity not taking such action, according to the state of compliance, the gravity of the matter and the nature of the reporting entity.

(5) While taking action and imposing punishment under this Section, the regulator shall give the reporting entity [43]or the office-bearer or employee of such entity a reasonable opportunity to submit its, his or her defence.

(6) A [44]reporting entity, or any office-bearer or employee of such entity, not satisfied with the action or punishment imposed by the regulator under this Section may file an appeal before the concerned [45]High Court within thirty-five days.

[42]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[43]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[44]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[45]Amended by the Act Amending Some Nepal Acts, 2072.

Chapter-3B
Provisions relating to Board of Directors and Coordination Committee[46]

7W. Board of Directors:–

(1) There shall be a Board of Directors as follows to monitor and review the effectiveness of activities relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction:-

(a) Finance Minister of the Nepal Government- Chairperson

(b) Law Minister of the Nepal Government - Member

(c) Attorney General - Member

(d) Chief Secretary, Nepal Government - Member

(e) Governor, Rastra Bank - Member

(f) Coordinator of the Coordination Committee - Member

(g) Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member

(h) Secretary, Ministry of Finance - Member-Secretary

(2) The meeting of the Board of Directors shall be held at least once every three months.

(3) The meeting of the Board of Directors shall be held on such date, at such time and place as specified by its Chairperson.

(4) The procedure of the meeting of the Board of Directors shall be as determined by the Board itself.

(5) The functions, duties and powers of the Board of Directors shall be as follows:-

(a) To review the draft national policy and programme relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction received from the Coordination Committee and recommend it to the Nepal Government for approval,

(b) To cause the implementation of, and review, the national policy and programme relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction,

(c) To determine and coordinate the functions to be performed by the Federation, Provinces and Local Levels in relation to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction, and to create the necessary mechanism therefor,

[46]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(d) To give necessary directions to the concerned bodies to implement, or cause to be implemented, the provisions under this Act in relation to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction,

(e) To approve the national risk assessment report relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction received from the Coordination Committee,

(f) To prepare an annual report of the work done during the year and submit it to the Nepal Government.

7X. Coordination Committee:–

(1) There shall be a Coordination Committee as follows to maintain, or cause to be maintained, functional coordination in order to enhance the effectiveness of the work of the bodies involved in activities relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction:-

(a) Secretary (Law), Office of the Prime Minister and Council of Ministers - Coordinator

(b) Secretary, Ministry of Finance - Member

(c) Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member

(d) Secretary, Ministry of Home Affairs - Member

(e) Secretary, Ministry of Foreign Affairs - Member

(f) Secretary, Ministry of Land Management, Cooperatives and Poverty Alleviation - Member

(g) Secretary, Commission for the Investigation of Abuse of Authority - Member

(h) Deputy Attorney General, Office of the Attorney General - Member

(i) Deputy Governor, Rastra Bank - Member

(j) Inspector General of Police, Nepal Police - Member

(k) Chief, Department of Money Laundering Investigation - Member

(l) Chief, Financial Information Unit - Member-Secretary

(2) The Coordination Committee may, as required, invite the officials or experts of the related bodies to its meetings.

(3) The procedure relating to the meetings of the Coordination Committee shall be as determined by the Committee itself.

(4) The functions, duties and powers of the Coordination Committee shall be as follows:-

(a) To formulate the national policy and programme relating to the prevention of money laundering, terrorist acts or proliferation financing of weapons of mass destruction and submit it to the Board of Directors,

(b) To carry out, or cause to be carried out, sectoral and national risk assessments and submit the integrated report thereof to the Board of Directors,

(c) To cause the concerned bodies or institutions to make and implement action plans and guidelines on the basis of the risk assessment, and to monitor whether or not such action plans have been implemented effectively,

(d) To give necessary suggestions or directions to maintain functional coordination among the related bodies,

(e) To implement, or cause to be implemented, the decisions made by the Board of Directors,

(f) To issue necessary guidelines on the security, confidentiality and use of the details or information required to be kept under this Act,

(g) To carry out, or cause to be carried out, necessary studies and research on the prevention of financial crimes, or to give suggestions to the concerned bodies for the control thereof, and

(h) To perform, or cause to be performed, other functions relating to coordination.

Chapter-4
[47]..... Provisions relating to Financial Information Unit

8. [48]....:–

8A. [4950]....:–

9. Financial Information Unit[51]:–

(1) There shall be a Financial Information Unit as an autonomous body to receive suspicious transaction reports or information relating to money laundering, terrorist acts or proliferation financing of weapons of mass destruction or predicate offences, to analyse the same and to disseminate the findings of the analysis.

(2) The Governor shall, in consultation with the Coordination Committee, appoint an officer having the prescribed qualifications and experience, from amongst officers of at

[47]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[48]Repealed by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[49]Inserted by the Assets (Money) Laundering Prevention (First Amendment) Act, 2068.
[50]Repealed by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[51]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

least the first class serving in the Rastra Bank, as the chief of the Financial Information Unit, and the chief of the Financial Information Unit shall be accountable to the Coordination Committee.

(3) The office of the Financial Information Unit shall be situated in the Kathmandu Valley, and the Financial Information Unit may, with the approval of the Nepal Government, open branch offices as required.

(4) The seal and organizational structure of the Financial Information Unit shall be as approved by the Nepal Government.

(5) The Financial Information Unit shall, as required, have employees of the regulators, investigating bodies and other related government institutions, and such employees shall be made available by the concerned bodies.

(6) The remuneration and facilities of the employees deputed to the Financial Information Unit shall be in accordance with the law relating to the conditions of service of such employees.

(7) The chief of the Financial Information Unit may write to the concerned authority about the quality of performance of the employees deputed to such Unit, and the concerned authority shall, while evaluating the performance of such employees, also evaluate on the basis of such matter.

(8) The Rastra Bank shall provide the budget, resources and means required by the Financial Information Unit.

(9) The qualifications and experience required of employees to be deputed to the Financial Information Unit, mobilization of employees, accountability, incentives and other provisions shall be as prescribed.

(10) Other provisions relating to the operation of the Financial Information Unit shall be as determined by the Board of Directors.

10. Functions, duties and powers of Financial Information Unit:–

(1) In addition to the functions, [52]duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the Financial Information Unit shall be as follows:-

(a) To receive details of transactions of the threshold determined under this Act or above,

(b) To receive suspicious transaction reports under this Act,

(c) To receive details relating to currency and bearer negotiable instruments under this Act,

(d) To receive other notices, documents and details under this Act,

[52]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(e) To analyse suspicious transaction reports and other reports and information received under this Act,

(f) To disseminate the findings of the analysis to the investigation officer or other concerned body, [53]on its own or at the request of such officer or body, if there is suspicion of an offence relating to money laundering and financing of terrorist acts or any other offence while making the analysis under clause (e),

(g) To make arrangements for training, as required, for reporting entities having the obligation to provide information under this Act, related bodies, regulators and its own employees,

(h) To provide necessary feedback and guidance to reporting entities or related bodies in respect of matters including the identification of suspicious transactions and suspicious transaction reports and information,

(i) To submit to the Nepal Government, through the Rastra Bank, an annual report [54]and strategic analysis report on its activities, attaching details including the types of offences relating to money laundering and financing of terrorist acts, and the techniques, methods and trends of committing offences,

(j) To assist the regulator, as required, in inspecting reporting entities, or to study inspection and supervision reports and give feedback, in respect of the system of identification, assessment and reporting of suspicious transactions and the effectiveness thereof,

(k) To enter into understandings on the exchange of cooperation, on the basis of reciprocity, with foreign bodies performing similar functions, and

(l) To perform such other functions as prescribed.

(2) The Financial Information Unit may demand necessary information or cooperation from a body of any country performing similar functions, or may provide information or other cooperation on its own or at the request of a body of any country performing similar functions.

(3) While using the cooperation and information received under sub-section (2), the Financial Information Unit shall comply with the conditions specified by the body providing such information or cooperation.

(4) While providing information and cooperation to a body of any country performing similar functions under sub-section (2), the Financial Information Unit shall also state the prescribed conditions relating to the use of such information or cooperation.

[53]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[54]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(5) The provisions relating to confidentiality under Section 10B shall also apply in respect of information received from a body of any country performing similar functions under sub-section (2).

(6) In the course of performing the functions, duties and powers under this Section, the Financial Information Unit may do as follows:-

(a) Demand and obtain necessary additional documents, records, details, notices and information from reporting entities, or

(b) Have access to any business data, or to administrative, financial or law enforcement related notices, documents or details held by related bodies, regulators or public institutions, and demand and obtain such notices, documents or details.

(7) The Financial Information Unit may impose a fine of up to one crore rupees on a reporting entity, or an office-bearer or employee of such entity, which does not submit a suspicious transaction report, does not comply with an order given or a condition specified under this Act, does not make available the documents or information ordered to be submitted, [55]or does not provide information relating to transactions under Section 10A, breaches the confidentiality of the information relating thereto, or does not make available the notice or information within the specified time.

(8) While imposing a fine on a reporting entity under sub-section (7), the Financial Information Unit shall give the concerned reporting entity a reasonable opportunity to submit its defence.

(9) A reporting entity not satisfied with the fine imposed by the Financial Information Unit under sub-section (7) may file an appeal before the concerned [56]High Court within thirty-five days.

(10) If the Financial Information Unit imposes a fine on any reporting entity under sub-section (7), it shall inform the regulator thereof within seven days.

10A. Information relating to transactions to be provided[57]:–

(1) If any person carries out a transaction of an amount exceeding the threshold specified by the Rastra Bank, in a lump sum or in instalments, [58]within the period specified by the Rastra Bank, the reporting entity and the government body shall provide information relating thereto to the Financial Information Unit within fifteen days from the date of such transaction.

[55]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[56]Amended by the Act Amending Some Nepal Acts, 2072.
[57]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[58]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

Explanation: For the purpose of this sub-section, "government body" means the Land Revenue Office, the Office of the Company Registrar and other government bodies specified by the Nepal Government.

(2) The [59]..... format, system and procedure for providing the information referred to in sub-section (1) shall be as specified by the Financial Information Unit.

10B. Confidentiality of information to be maintained[60]:–

(1) The reports relating to transactions under Section 10A, suspicious transaction reports and the notices, documents and details received by the Financial Information Unit shall be kept confidential, and the findings obtained from the analysis of such information shall be used, while investigating offences, as a source of information (intelligence), or subject to the conditions specified while disseminating such findings.

(2) Except where otherwise provided in this Act or where the court has so ordered, any employee serving or having retired from the Financial Information Unit shall keep confidential the information known to him or her in the course of his or her work, even when he or she is no longer in the Financial Information Unit.

(3) The Financial Information Unit shall formulate and implement necessary procedures relating to the use, analysis and dissemination of the notices, documents and details received under this Act, the exchange thereof with foreign bodies performing similar functions, access thereto, and the development and use of means to keep such notices, documents or details confidential, secure and systematic.

(4) The Financial Information Unit may issue necessary directives relating to the format, medium, time and procedure of the reports, notices or information to be provided to the Financial Information Unit by reporting entities and other related bodies under this Act.

(5) The directives issued under sub-section (4) shall also be published on the website of the Financial Information Unit.

Chapter-5
Provisions relating to Constitution, Functions, Duties and Powers of Department

11. Establishment of Department:–

(1) The Nepal Government shall establish a Department of Money Laundering Investigation to investigate offences relating to money laundering and financing of terrorist acts.

(2) An officer of the civil service of [61]at least the first class shall be the chief of the Department.

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[59]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[60]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[61]Inserted by the Assets (Money) Laundering Prevention (First Amendment) Act, 2068.

(3) The organizational structure of the Department and the positions of employees required for the Department shall be as specified by the Nepal Government.

[62](4) The Nepal Government may, upon demand from the concerned bodies and public institutions, make available to the Department the expert employees required by it.

12. Cooperation relating to investigation may be exchanged:–

[63](1) If a body of any country performing similar functions so demands, or if the Department itself deems necessary, the Department may, on the basis of reciprocity, exchange information relating to the investigation carried out by it in respect of offences relating to money laundering and financing of terrorist acts.

(2) The Department may, if it deems necessary, carry out or cause to be carried out a joint investigation of offences relating to money laundering and financing of terrorist acts together with a body of any country performing similar functions.

(3) The Department may, as required, enter into mutual understandings with foreign bodies performing similar functions to determine the method, conditions and process of exchanging the cooperation referred to in sub-section (1) or (2).

(4) The provisions relating to the prohibition on breach of confidentiality under Section 26 shall equally apply in respect of the information received from a body of any country performing similar functions under sub-section (1).

(5) Other provisions relating to the exchange of cooperation relating to investigation shall be as prescribed.

Chapter-6
Provisions relating to Investigation

13. Complaint may be filed:–

[64](1) Any person who comes to know that anyone has committed, is about to commit or is committing the following offence shall, as soon as possible, give a complaint or information, in writing, orally or through electronic means, to the following office:-

(a) In the case of an offence related to the financing of terrorist acts or proliferation financing of weapons of mass destruction, to the police office,

(b) In the case of an offence of money laundering related to a predicate offence, to the office investigating the predicate offence under the prevailing law,

[62]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[63]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[64]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(c) [65]In the case of a matter of money laundering not related to a predicate offence, to the Department.

[66](1a) If the complaint or information referred to in sub-section (1) is received by a body or office other than the office or body authorized to investigate, such office or body shall register such complaint or information and immediately forward it to the concerned office or body for necessary action.

(2) If the complaint, application, information or notice referred to in sub-section (1) is received in writing, [67]the investigating office shall register such notice, and if it is received orally, it shall register such complaint, notice or information after reducing it to writing.

Provided that if anyone has filed a complaint so as to keep his or her name and address confidential, such complaint shall be registered by keeping, [68]in place of the name and address of the complainant, such code as specified by [69]the chief of the office receiving the complaint.

[70](3) Notwithstanding anything contained in sub-section (1) or (2), if the Department or any employee of the Department comes to know by any means that anyone has committed, is about to commit or is committing an offence relating to money laundering and financing of terrorist acts, such matter shall be registered as a complaint.

[71](4) If, on examining the justification of a complaint received under sub-section (1) or (2), it appears necessary to have the complaint identified, the concerned complainant may be summoned and caused to identify it.

[72](5) If the person identifying the complaint under sub-section (4) wishes to keep his or her name and address confidential, his or her name and address shall be kept confidential.

14. Preliminary inquiry[73]:–

(1) If a complaint under Section 13, or information along with the findings of analysis from the Financial Information Unit under Section 10, is received, [74]the chief of the office

[65]Amended by the Assets (Money) Laundering Prevention (Third Amendment) Act, 2083.
[66]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[67]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[68]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[69]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[70]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[71]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[72]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[73]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[74]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

receiving the complaint shall make or cause to be made a preliminary inquiry into such complaint or information.

(2) In order to cause the preliminary inquiry to be made under sub-section (1), [75]the chief of the office receiving the complaint may depute any subordinate officer, giving an appropriate time, having regard to the nature of such complaint or information.

(3) While making the preliminary inquiry, the inquiry officer may exercise the same powers as those of an investigation officer under this Act.

14A. Writing for investigation of predicate offence or forming team[76]:–

(1) While inquiring into a complaint received under clause (c) of sub-section (1) of Section 13, the Department shall also inquire as to whether or not a predicate offence has been committed in such complaint.

(2) If it appears that a predicate offence has been committed while inquiring under sub-section (1), the Department shall write to the body investigating such offence for investigation.

(3) If, while inquiring under sub-section (1), it appears that investigation is required into two or more predicate offences in addition to the offence of money laundering and the offence appears to be of a serious or complex nature, or the investigating authorities of such predicate offences are different bodies, or it appears necessary, on the basis of the nature of the offence, to carry out the investigation with the participation of two or more bodies or public institutions, the chief of the Department may, as required, in consultation with the chief of the concerned body or public institution, form a joint investigation team consisting of representatives of the Department and such body or institution.

(4) The body to which the Department has written for investigation under sub-section (2), and the joint investigation team formed under sub-section (3), may exercise all the powers conferred on the investigation officer under this Act while investigating an offence of money laundering.

(5) The joint investigation team formed under sub-section (3) shall, after completing the investigation, prepare an integrated investigation report of the offence of money laundering and the predicate offence and send it to the body investigating the predicate offence for the purpose of filing a case.

(6) The concerned body shall, after completing the investigation under sub-section (2), prepare an investigation report under sub-section (1) of Section 22 and send it to the concerned government attorney office.

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[75]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[76]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(7) Other provisions relating to the joint investigation team to be formed under sub-section (3) shall be as prescribed.

15. Investigation also into offence of money laundering[77]:–

(1) If, while investigating a predicate offence, the investigation officer finds that the person under investigation has committed an offence of money laundering, he or she shall inform the Department thereof as soon as possible.

Provided that it shall not be necessary to give such information to the Department when a constitutional body authorized to investigate a predicate offence under the prevailing law investigates money laundering under this Act, or when the body to which it has been written under sub-section (2) of Section 14A investigates that matter.

(2) If information is received under sub-section (1), the Department may, within fifteen days from the date of receipt of such information, form an investigation team if the circumstance referred to in sub-section (3) of Section 14A appears, appoint any officer of the Department as the investigation officer to investigate the offence of money laundering in coordination with the officer investigating the predicate offence, or give necessary suggestions to the office investigating the predicate offence to carry out further investigation on any matter related to the offence of money laundering or to make the investigation effective.

(3) If an investigation team has been formed under sub-section (2), the Department shall inform the concerned investigating body thereof.

(4) If an investigation team has been formed under sub-section (2), such team shall prepare the integrated report referred to in sub-section (5) of Section 14A.

(5) The integrated investigation report referred to in sub-section (4) shall be sent to the concerned body investigating the predicate offence for the purpose of filing a case.

(6) The investigation of an offence of money laundering under this Act, other than an offence which requires investigation through the exchange of cooperation or coordination with another country or which is linked with a serious predicate offence, shall be completed within one year from the date of commencement of the investigation.

15A. Investigation may be carried out under this Act[78]:–

Notwithstanding anything contained in other prevailing law, if the investigation officer under this Act has to investigate an offence of money laundering and file a case, he or she may adopt the powers and procedures under this Act also in respect of the predicate offence related to such offence.

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[77]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[78]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

16. Functions, duties and powers of investigation officer[79]:–

(1) For the purpose of this Act, the functions, duties and powers of the investigation officer, under the general direction and control of [80]the chief of the investigating office, shall be as follows:-

(a) To order any government body, regulator, reporting entity or concerned person to submit documents, records, details, notices or information relating to an offence relating to money laundering and financing of terrorist acts held by it,

(b) If it appears, or there are reasonable grounds to believe, that any document, deed, exhibit, evidence or instrumentality related to an offence relating to money laundering and financing of terrorist acts exists, to search any government body, regulator, reporting entity, person or any other place by giving the prescribed notice, and to recover and take under control such document, deed, exhibit, evidence or instrumentality related to the offence or proceeds of crime by giving a receipt to the concerned person or official,

(c) To arrest and detain, in accordance with the prevailing law, a person accused of, or involved in, an offence relating to money laundering and financing of terrorist acts, or in respect of whom there are reasonable grounds to suspect so, if there are reasonable grounds that such person may abscond, may conceal or destroy any evidence, or may obstruct or adversely affect the investigation proceedings,

(d) To take information, statements or deposition from a person having, or reasonably believed to have, information about an offence relating to money laundering and financing of terrorist acts,

(e) If it appears necessary to take further information from such person while taking information, statements or deposition under clause (d), to release him or her upon executing a deed to appear when called, or to demand bail and, if bail is not furnished, to detain him or her with the permission of the adjudicating authority,

(f) To fully and effectively identify, trace and evaluate proceeds of crime or instrumentalities related to the offence in order to freeze or take under control such property or instrumentality under Section 18,

(g) To write to the Financial Information Unit if he or she believes that any information may be available with a foreign financial information unit, and

(h) To perform such other functions as prescribed.

[79]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[80]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(2) [81]The chief of the investigating office may, on the basis of the report of the investigation officer, impose a fine of up to five lakh rupees on a person who does not comply with an order given in the course of investigation of an offence relating to money laundering and financing of terrorist acts.

(3) Notwithstanding anything contained in sub-section (2), if it appears that anyone has not complied with an order issued under Section 18 to freeze property or instrumentality with the intention of aiding the commission of an offence relating to money laundering and financing of terrorist acts, there shall be no obstruction to investigating and prosecuting such person for the offence relating to money laundering and financing of terrorist acts.

17. Detention for investigation:–

[82](1) While detaining a person accused of, or involved in, an offence relating to money laundering and financing of terrorist acts, or in respect of whom there are reasonable grounds to suspect so, a detention warrant shall be given in accordance with the prevailing law.

[83](2) While detaining any person for the investigation of an offence relating to money laundering and financing of terrorist acts, the investigation officer shall produce him or her before the adjudicating authority within twenty-four hours, excluding the time required for the journey, and detain him or her with the permission of such authority.

[84](3) While submitting for permission to detain under sub-section (2), the investigation officer shall clearly state before the adjudicating authority the accusation against the arrested or detained person, the reason and ground therefor, the contents of his or her statement, if any, and the reason why it is necessary to carry out the investigation by keeping him or her in detention.

(4) If it is demanded under sub-section (3) to carry out investigation by keeping the person in detention, the adjudicating authority shall examine the related documents and consider whether or not the investigation has been carried out satisfactorily, and if the investigation appears to be proceeding satisfactorily, may grant permission to detain him or her for up to ninety days, at once or from time to time, not exceeding thirty days at a time.

(5) If permission has been sought to detain under sub-section (2), the detained person may make an application to the adjudicating authority stating the reasons and grounds why he or she should not be detained.

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[81]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[82]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[83]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[84]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(6) If the investigation officer has to arrest or detain anyone [85]or has to produce him or her before the adjudicating authority for the extension of time under this Section, he or she shall, before doing so, inform [86]the chief of his or her office thereof.

Provided that if any person has to be arrested immediately, the investigation officer may arrest such person immediately and inform [87]the chief of his or her office thereof as soon as possible.

18. Freezing or taking under control[88]:–

(1) The investigation officer may, in the course of investigation, freeze or take under control the following property or instrumentality, and property or instrumentality reasonably suspected to be related thereto, in whosoever's name, possession or ownership it may be or in which anyone may have any kind of interest:-

(a) Laundered property,

(b) Instrumentality related to the offence used or sought to be used to commit an offence of money laundering,

(c) Proceeds of crime from an offence relating to the financing of terrorist acts,

(d) Property or funds used or allocated or sought to be used for the financing of terrorist acts, or by a terrorist act, terrorist or terrorist organization, or

(e) Instrumentality related to the offence used or sought to be used to commit an offence relating to the financing of terrorist acts.

[89](1a) If any property or instrumentality is required to be frozen or taken under control for more than one year under sub-section (1), the permission of the court shall be obtained.

(2) If the property or instrumentality referred to in sub-section (1) has been concealed, consumed or disposed of, or cannot be frozen or taken under control for any other reason, the investigation officer shall freeze or take under control other property, of an equivalent value, of the person suspected of an offence relating to money laundering and financing of terrorist acts.

(3) In relation to freezing or taking under control the property or instrumentality under sub-section (1) or (2), the investigation officer may do as follows:-

(a) Take such property or instrumentality under control himself or herself, or issue an order to take it under control through the concerned government body, or

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[85]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[86]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[87]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[88]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[89]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(b) Issue an order to freeze such property or instrumentality ex parte, without giving any notice to the concerned person, and write to the concerned body.

(4) Notwithstanding anything contained in sub-section (1), the investigation officer may order the freezing of the property of a person who does not appear within the time limit of the notice given to appear, or within the time limit served under Section 40, in the course of the investigation of an offence relating to money laundering and financing of terrorist acts, until he or she appears before the investigation officer.

(5) If it has been written to freeze any property or instrumentality under clause (b) of sub-section (3) or sub-section (4), the person, body or institution taking charge of or keeping under control such property or instrumentality shall make arrangements so that no one can transfer, pledge or mortgage, sell or distribute, or carry out any other transaction with, or take any other benefit from, such property or instrumentality.

(6) The investigation officer shall inform [90]the chief of the investigating office before freezing or taking under control the property or instrumentality under sub-section (3) or (4).

Provided that if any property or instrumentality has to be frozen or taken under control immediately in the course of investigation, the investigation officer shall issue an order to freeze such property or instrumentality immediately, or take it under control, and inform [91]the chief of the investigating office thereof as soon as possible.

(7) If property or instrumentality has been frozen or taken under control under this Section, the investigation officer shall give written information thereof to the concerned person within three days.

(8) If the concerned person is not satisfied with the freezing or taking under control of property or instrumentality under this Section, he or she may make an application to the court specified under sub-section (2) of Section 22 for the release of the frozen property or instrumentality.

(9) If an application is made under sub-section (8), and the property or instrumentality kept under control or frozen under sub-section (1) or (4) appears to be the property of the applicant and the following circumstances exist, the court may release the frozen property or instrumentality or the property or instrumentality taken under control:-

(a) If the applicant does not appear to be involved in any offence relating to money laundering or financing of terrorist acts,

[90]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[91]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(b) If there are no reasonable grounds to suspect that such property or instrumentality is property or instrumentality obtained from any offence relating to money laundering or financing of terrorist acts, and

(c) If such property or instrumentality does not appear to be related to any other offence committed by the applicant.

(10) If it appears that anyone has sought to create any contractual or other obligation in such a manner as to adversely affect the confiscation of property or instrumentality which may be confiscated under Section 34, the investigation officer shall have the power to take necessary action to prevent such act or, if already done, to have such act voided.

(11) If the investigation officer has taken under control or frozen property or instrumentality under this Section, he or she shall submit a report thereon to the adjudicating authority within seven days from the date of doing so.

(12) If a report is received under sub-section (11), the adjudicating authority may give necessary and appropriate orders in that respect.

(13) Other provisions relating to the freezing or taking under control of property or instrumentality under this Section shall be as prescribed.

19. Request to concerned country[92]:–

(1) If, while investigating an offence relating to money laundering and financing of terrorist acts, it appears that proceeds of crime or instrumentalities related to the offence that need to be frozen or taken under control under Section 18 are located abroad, the Department shall immediately write to the concerned country, in accordance with the prevailing law, to freeze or take under control the property of such person.

(2) While writing under sub-section (1), the Department shall also state the place where such person and his or her property or instrumentality are located, or the bank or financial institution, if such information is available.

19A. Regular monitoring of transactions may be carried out[93]:–

(1) The investigation officer may give a continuous monitoring order to a reporting entity to regularly monitor the transactions of any person under investigation for an offence relating to money laundering and financing of terrorist acts and submit reports.

(2) The order under sub-section (1) shall normally be given for a period not exceeding three months.

(3) If an order is made under this Section, the reporting entity shall regularly monitor the transactions of the concerned person and send reports relating to the transactions of such person as specified by the Department.

[92]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[93]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

19B. Passport or travel document may be withheld[94]:–

(1) Notwithstanding anything contained in the prevailing law, the investigation officer may write to the concerned body not to issue a passport or travel document in the name of any person under investigation for an offence relating to money laundering and financing of terrorist acts or, if already issued, to withhold the same.

(2) If it is so written under sub-section (1), the concerned body shall not issue a passport or travel document in the name of such person if not yet issued, and shall withhold the passport or travel document of such person if already issued.

19C. Special investigation methods may be adopted[95]:–

(1) The investigation officer may, under the direct supervision of an officer of at least the gazetted second class or equivalent of the investigating office, adopt any or all of the following special investigation methods while investigating an offence relating to money laundering, terrorist acts or proliferation financing of weapons of mass destruction or a predicate offence:-

(a) Controlled delivery,

(b) Mobilization of informants,

(c) Undercover operations,

(d) Obtaining details of telephone or communication media (interception),

(e) Not arresting immediately with the purpose of obtaining additional evidence and information (arrest waiver),

(f) Access to the structure or system of computers or other electronic devices,

(g) Other special investigation methods as prescribed.

(2) Prior permission of the court shall be obtained while adopting the method referred to in clause (d) or (f) of sub-section (1).

(3) The details obtained in the course of investigation under sub-section (1) shall not be used for any purpose other than the investigation and prosecution of the same offence, or made public.

(4) Other processes relating to the adoption of special investigation methods under this Section shall be as prescribed.

[94]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[95]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

20. To be kept safe[96]:–

The investigation officer shall keep safe [97]..... the property, instrumentality and documents related thereto taken under control under this Chapter in the course of investigation of an offence relating to money laundering and financing of terrorist acts.

21. Cooperation of concerned bodies may be obtained:–

(1) [98]The investigating office may, as required, demand the cooperation of any body or public institution in the course of investigation of an offence relating to money laundering and financing of terrorist acts, and it shall be the duty of such body or institution to cooperate when [99]the investigating office so demands.

(2) [100]The investigating office may also demand the cooperation of the Nepal Police in the course of investigation of an offence relating to money laundering and financing of terrorist acts. If [101]the investigating office so demands cooperation, it shall be the duty of the concerned police officer or employee to cooperate.

(3) If [102]the investigating office finds it necessary, from the nature of the offence being investigated, to consult any expert serving in any body or to involve such expert in the investigation, it may request the concerned body to send him or her on deputation for some period, and if so requested, such body shall, notwithstanding anything contained in the prevailing law, make the concerned expert available to [103]the investigating office.

22. Filing of cases[104]:–

(1) After the completion of the investigation in respect of an offence relating to money laundering and financing of terrorist acts, the investigation officer shall prepare an investigation report in the format under the prevailing law and send it, [105]in the case of the Department, to the government attorney office specified by the Attorney General by

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[96]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[97]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[98]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[99]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[100]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[101]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[102]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[103]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[104]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[105]Amended by the Assets (Money) Laundering Prevention (Third Amendment) Act, 2083.

publishing a notice in the Nepal Gazette, and in other cases, to the concerned government attorney office.

Provided that this shall not prevent a constitutional body authorized to investigate a predicate offence under the prevailing law from filing, or causing to be filed, a case in the court authorized by law.

(2) If, on studying the report and the case file received under sub-section (1), sufficient grounds for prosecution appear from the evidence collected, the government attorney shall file a case in the court adjudicating cases of the predicate offence.

(3) If it appears that an offence under this Act has been committed by using any legal person or arrangement, a case may be filed claiming separate punishment and confiscation against such legal person or arrangement and against the related natural person who commits or causes to be committed the offence by using it as a medium.

(4) The Department may, as the investigation officer under this Act, investigate and file cases under this Section in respect of the complaints, applications, information or notices pending in the Department at the time of commencement of this Section.

23. Limitation:–

No limitation shall apply to filing a case relating to an offence relating to money laundering and financing of terrorist acts.

24. Government to be plaintiff:–

The Nepal Government shall be the plaintiff in cases relating to offences relating to money laundering and financing of terrorist acts.

25. No bar to prosecution under prevailing law:–

(1) If an act deemed to be an offence relating to money laundering and financing of terrorist acts is also punishable under other prevailing law, a case may also be filed under such law.

(2) [106].....

(3) [107].....

[106]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[107]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

25A. [108]...[109]:–

26. Confidentiality not to be breached[110]:–

The investigation officer, or an employee or person involved in the work of investigation, shall not breach the confidentiality of any matter known to him or her, or any document submitted, in the course of investigation under this Act or while performing his or her duties, except where compelled by the prevailing law.

27. Automatic suspension:–

[111]If any office-bearer or employee of a corporate body established under the prevailing law, or any public servant, is held in detention under this Act, such employee, office-bearer or public servant shall be deemed to have been automatically suspended throughout the period of such detention and, if a case has been filed against him or her under Section 22, until the final disposal of such case.

28. Source of property to be disclosed[112]:–

(1) If, in the course of investigation of an offence of money laundering against any person on the basis of a complaint received under Section 13 or information received by the Department through any other medium, while inquiring under sub-section (1) of Section 14A as to whether or not a predicate offence has been committed, no predicate offence appears to have been committed, but the property of such person appears unusual in comparison with his or her source of income or economic status, or he or she appears to be maintaining an unusually high standard of living, or appears to have made donations, charity, gifts, loans, contributions or gratuities to anyone, or carried out transactions, beyond his or her capacity, the source of such property shall be demanded from him or her.

(2) If, while investigating a complaint against any person under this Act, the evidence obtained by the investigation officer does not show a situation in which a case may be filed against him or her for any offence, but the property of such person appears unusual in comparison with his or her source of income or economic status, or he or she appears to be maintaining an unusually high standard of living, or appears to have made donations, charity, gifts, loans, contributions or gratuities, or carried out transactions, beyond his or her capacity, or a large amount of cash or other movable property is found with him or her, and no trade, business or regular source of income from which property of such amount may be earned is found, the investigation officer shall send the case file and

[108]Repealed by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[109]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[110]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[111]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[112]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

documents relating to such complaint, along with his or her opinion, to the Department for necessary action.

(3) The Department shall require the person investigated under sub-section (1) or (2) to disclose from what source such property has been earned.

(4) If a situation appears in which a case may be filed against a person investigated under the prevailing law for a predicate offence, for the predicate offence or for the offence of money laundering under this Act, and the property of such person appears to exceed the property earned from the offence, a case shall be filed with an accusation and a claim for punishment and confiscation in respect of the proceeds of crime, and with a claim for confiscation in respect of the property, other than that, exceeding the proceeds of crime the source of which he or she could not disclose.

(5) The property the source of which could not be disclosed under sub-section (4) shall be confiscated.

(6) If, in a matter written under sub-section (2) or investigated by the Department itself, the source of the property cannot be disclosed when required to be disclosed under sub-section (3), and no situation appears in which a case may be filed against the person investigated for an offence under this Act or the prevailing law, the Department shall write to the Inland Revenue Department for the assessment and recovery of tax up to the amount of the property the source of which could not be disclosed.

(7) If it is so written under sub-section (6), the Inland Revenue Department shall ascertain whether or not a tax-related offence has been committed, and if no such offence is found to have been committed and such person also makes a self-declaration that he or she has not acquired the property by committing any offence, it shall treat his or her property as income of the current income year and assess and recover the maximum tax under the prevailing law.

Provided that if a tax-related offence appears to have been committed, that Department shall investigate such offence itself if it is required to investigate it, and if the investigating body is another body, write to such body for investigation.

(8) The name, surname and address of the person from whom tax has been recovered under sub-section (7) shall be posted on the website of the Department, and the details relating to his or her income and revenue shall be sent to the Department and the Financial Information Unit.

(9) Notwithstanding anything contained elsewhere in this Section, if the property from which tax has been recovered or which has been confiscated under sub-section (7) appears to have been obtained from any offence, there shall be no bar to taking action or prosecuting under the prevailing law.

(10) The Inland Revenue Department shall make and implement guidelines on the matters to be complied with under this Act in relation to the prevention of money laundering,

terrorist acts or proliferation financing of weapons of mass destruction while tax officers carry out tax assessment and tax audit.

29. No bar to prosecution and punishment[113]:–

(1) Nothing contained elsewhere in this Act shall bar the prosecution for either or both of the predicate offence and the offence of money laundering on the basis of the evidence obtained while investigating a complaint received under this Act.

(2) There shall be no bar to prosecution and punishment for the offence of money laundering merely on the ground that no case has been filed for the predicate offence under sub-section (1), or that such case, even if filed, has not been finally disposed of.

Chapter-6A
Provisions relating to Declaration of Currency and Bearer Negotiable Instruments[114]

29A. Declaration to be made:–

(1) A person taking out from Nepal to a foreign country, or bringing into Nepal from a foreign country, Nepali currency, or foreign currency equivalent thereto, or bearer negotiable instruments of a value exceeding that specified by the Rastra Bank, with himself or herself or through cargo, courier, post or any other means, shall properly declare such currency or bearer negotiable instruments in writing as prescribed.

(2) While making the declaration under sub-section (1), the declaration shall be made before the concerned customs officer if such currency or bearer negotiable instruments are brought or taken with oneself, and before the concerned cargo, courier or post if brought or taken through cargo, courier, post or any other means.

(3) The cargo, courier, post or other similar service operator shall submit the details relating to the currency and bearer negotiable instruments declared under sub-section (2) to the concerned customs officer in the prescribed format.

(4) If the customs officer suspects that the declaration made under sub-section (1) or (2) or the details submitted under sub-section (3) are false or incorrect, he or she may require such person to show the currency or bearer negotiable instruments held by him or her, or may open the suspected cargo, parcel or package.

(5) Other provisions relating to the declaration of currency and bearer negotiable instruments shall be as prescribed.

29B. Inquiry, confiscation and punishment:–

(1) The customs officer may, in the following circumstances, inquire into the source of the currency or bearer negotiable instruments sought to be taken from Nepal to a foreign

[113]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[114]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

country or brought into Nepal from a foreign country, and the purpose for which they are sought to be used:-

(a) If it is suspected that a false declaration has been made, or no declaration has been made, of the currency or bearer negotiable instruments, or

(b) If there are reasonable grounds to suspect that they are related to any predicate offence.

(2) If, upon inquiry under sub-section (1), it is proved that no declaration, or a false or incorrect declaration, has been made of such currency or bearer negotiable instruments, or that they are related to any offence, the customs officer shall confiscate all the currency or bearer negotiable instruments and impose a fine equal to the claimed amount.

(3) While confiscating under sub-section (2), the customs officer shall give information thereof, along with the reasons, to the concerned person.

29C. Information to be given:–

(1) The customs officer shall immediately give information about the details of the currency or bearer negotiable instruments suspected under Section 29B to the Financial Information Unit and to the concerned body or officer investigating the offence.

(2) The Department of Customs shall send the details relating to the currency and bearer negotiable instruments declared under Section 29A to the Financial Information Unit every month.

29D. Deemed to be goods under Customs Act:–

(1) For the purpose of this Chapter, currency and bearer negotiable instruments shall be deemed to be goods under the prevailing law relating to customs.

(2) Other provisions relating to the inquiry, search, freezing, confiscation, appeal and action relating to the currency and bearer negotiable instruments required to be declared under this Chapter shall be in accordance with the prevailing law relating to customs.

Chapter-6B
Special Provisions relating to Freezing of Property and Funds[115]

29E. Dissemination of information relating to terrorist persons, groups or organizations:–

(1) The Ministry of Foreign Affairs shall, without delay, post on its website the updated list of persons, groups or organizations listed pursuant to the decisions passed by the Security Council of the United Nations in relation to freezing the property or funds of persons, groups or organizations involved in terrorist acts, or [116]of persons, groups or

[115]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[116]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

organizations carrying out proliferation financing of weapons of mass destruction, and send information thereof to the Ministry of Home Affairs through electronic means.

(2) The Ministry of Home Affairs shall immediately issue an order under this Chapter to freeze the property or funds of the [117].... persons, groups or organizations included in the list referred to in sub-section (1).

(3) The Ministry of Home Affairs shall, without delay, publish on its website the list along with the orders issued under sub-section (2) and Section 29F.

(4) The Office of the Prime Minister and Council of Ministers, regulators, concerned bodies, the Financial Information Unit, reporting entities, legal persons and natural persons shall, for the purpose of this Chapter, regularly check the lists published under sub-sections (1) and (3) on the websites and obtain, or cause to be obtained, up-to-date information about the persons, groups or organizations mentioned in such lists.

29F. Listing as terrorist person, group or organization:–

(1) If a request is received by the Nepal Government from any country to freeze the property of any person, group or organization stating that such person, group or organization is related to [118]terrorist acts or proliferation financing of weapons of mass destruction, or that there are reasonable grounds to suspect so, the Ministry of Foreign Affairs shall give information thereof to the Ministry of Home Affairs without delay.

(2) If there are reasonable grounds that a Nepali or foreign citizen, or any other person, group or organization, is involved or may be involved in [119]terrorist acts or proliferation financing of weapons of mass destruction in Nepal or in any country outside Nepal, the Ministry of Home Affairs shall make necessary inquiry in respect of such person, group or organization on its own or upon a request received from any country under sub-section (1).

(3) If any person, group or organization appears to be involved in an act referred to in sub-section (2) or Section 4 in Nepal or in any country outside Nepal, or appears to be a person, group or organization related to any act deemed under the prevailing law to be [120]financing of terrorist acts or of proliferation of weapons of mass destruction, the Nepal Government may list such person, group or organization in the list of persons, groups or organizations

[117]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[118]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[119]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[120]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

related to [121]financing of terrorist acts or of proliferation of weapons of mass destruction, and issue an order to freeze the property or funds of such person, group or organization.

(4) If there are no grounds to keep a person, group or organization listed in the list referred to in sub-section (3), the Nepal Government may remove the name of such person, group or organization from such list.

(5) If the name of a listed person, group or organization is removed from such list under sub-section (4), the Ministry of Home Affairs shall publish information thereof on its website without delay.

29G. Property and funds to be frozen without delay:–

(1) Natural persons, legal persons, concerned bodies or reporting entities shall immediately, without prior notice, freeze the property or funds of the persons, groups or organizations involved in [122]terrorist acts or proliferation financing of weapons of mass destruction mentioned in the lists referred to in Sections 29E and 29F.

(2) While freezing under sub-section (1), the following property and funds held by them shall be frozen without delay:-

(a) All property or funds owned, possessed or controlled, directly or indirectly, solely or jointly, by such person, group or organization,

(b) Property or funds grown or increased from the property or funds referred to in clause (a),

(c) Property or funds of any person, group or organization acting on behalf of, or at the direction of, such person, group or organization.

(3) While freezing property or funds under this Section, such property or funds shall be frozen in such a manner that they cannot be transferred, pledged or mortgaged, taken or given, sold, distributed or transacted with, to or by anyone, except in the process and circumstances mentioned in this Act or the Rules framed under this Act.

(4) Natural persons, legal persons, concerned bodies and reporting entities shall make arrangements so that the persons, groups or organizations mentioned in Sections 29E and 29F cannot use, or obtain benefit from, directly or indirectly, solely or jointly, the property and funds, economic resources, or financial or other related facilities frozen under sub-sections (1) and (2).

(5) Natural persons, legal persons and concerned bodies shall send the details of the property or funds frozen under sub-sections (1) and (2) to [123]the Office of the Prime

[121]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[122]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[123]Amended by the Act Amending Some Nepal Acts, 2075.

Minister and Council of Ministers, and reporting entities to their regulator, within three days from the date of doing so.

(6) The regulator shall send the details received from reporting entities under sub-section (5) to [124]the Office of the Prime Minister and Council of Ministers within three days.

[125](6a) The integrated records, management and protection of the property or funds frozen under this Chapter shall be carried out by the Department of Management of Proceeds of Crime established under the prevailing law.

(7) Other provisions relating to the freezing of property or funds under this Chapter shall be as prescribed.

29H. Delisting or unfreezing property and funds:–

(1) A person, group or organization whose name is included in the list referred to in Section 29E or 29F may make an application to the Ministry of Foreign Affairs in the case of the list referred to in Section 29E, and to the Ministry of Home Affairs in the case of the list referred to in Section 29F.

(2) If property or funds have been frozen under Section 29G, a person, group or organization related to the list referred to in Section 29E may make an application to the Ministry of Foreign Affairs, and a person, group or organization related to the list referred to in Section 29F may make an application to the Ministry of Home Affairs, for the unfreezing of such property or funds or in respect of other effects caused to them.

(3) If an application is received under sub-section (1) or (2), the concerned Ministry shall make or cause to be made necessary inquiry, and if such application appears to be related to a person, group or organization mentioned in the list published under Section 29E, the Ministry of Foreign Affairs shall send it to the United Nations, and if it appears to be related to a person, group or organization published under Section 29F, the Ministry of Home Affairs shall send it to the concerned country through the Ministry of Foreign Affairs.

(4) If the application under sub-section (1) or (2) appears to be related to the list of persons, groups or organizations carrying out [126]terrorist acts or proliferation financing of weapons of mass destruction published by the Nepal Government itself under Section 29F, the Ministry of Home Affairs shall make or cause to be made necessary inquiry, and if such person, group or organization does not appear to be in the circumstance mentioned in sub-section (4) of Section 29F, or the applicant does not appear to be required to be included

[124]Amended by the Act Amending Some Nepal Acts, 2075.
[125]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[126]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

in the list under Section 29F, it shall remove the name of such person, group or organization from such list or unfreeze his or her frozen property or funds.

(5) Other provisions necessary to implement, or cause to be implemented, the decisions of the United Nations Security Council effectively, including the inclusion in the list of the names of persons, groups or organizations carrying out [127]terrorist acts or proliferation financing of weapons of mass destruction, the inclusion in or removal from the list of the names of persons, groups or organizations carrying out [128]terrorist acts or proliferation financing of weapons of mass destruction listed under Section 29F, the unfreezing of property or funds frozen under Section 29G, complaints against listing or freezing of property or funds, the appropriate protection of the legal rights of bona fide third parties, and the unfreezing of the minimum expenses necessary for the maintenance of the person whose property and funds have been frozen, shall be as prescribed.

29I. Writing to concerned country:–

(1) If any property or funds of a person, group or organization whose name is mentioned in the list published under Section 29F appear to be located abroad, the Ministry of Home Affairs shall, without delay, write to the concerned country through the Ministry of Foreign Affairs to freeze such property or funds.

(2) If the name of the listed person, group or organization so written about under sub-section (1) is removed from such list, the Ministry of Home Affairs shall also write to the concerned country through the Ministry of Foreign Affairs to unfreeze his or her frozen property or funds.

29J. Provisions relating to monitoring:–

(1) The overall monitoring and evaluation of whether or not the activities under this Chapter have been carried out effectively shall be carried out by the Coordination Committee.

(2) The concerned Ministry shall regularly monitor whether or not the concerned bodies have carried out the acts under this Chapter effectively.

(3) The concerned regulator shall regularly monitor whether or not reporting entities have carried out the acts under this Chapter effectively.

(4) Other provisions relating to monitoring under this Section shall be as prescribed.

29K. Punishment to violator:–

(1) The regulator may punish a reporting entity violating Section 29G under Section 7V.

[127]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[128]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(2) The authority shall impose departmental punishment, in accordance with the prevailing law, on the responsible office-bearer of the concerned body violating Section 29G.

(3) The Ministry of Home Affairs may impose a fine of up to ten lakh rupees on a natural person or legal person violating Section 29G.

(4) Notwithstanding anything contained in sub-section (1), (2) or (3), if it appears that any natural or legal person, reporting entity or its responsible office-bearer has not frozen property or funds with the intention of aiding the commission of an offence relating to [129]financing of terrorist acts or of proliferation of weapons of mass destruction, or of assisting a person, group or organization carrying out [130]terrorist acts or proliferation financing of weapons of mass destruction or such act, there shall be no bar to investigating and prosecuting him or her for an offence relating to [131]financing of terrorist acts or of proliferation of weapons of mass destruction.

(5) The provisions of this Act shall apply in relation to the identification, freezing, control, investigation and confiscation of the property and funds of the persons, groups or organizations carrying out terrorist [132]acts or proliferation financing of weapons of mass destruction under this Chapter.

Chapter-7
Punishment

30. Punishment for money laundering and financing of terrorist acts[133]:–

(1) A person who commits an offence of money laundering referred to in sub-section (1) of Section 3 shall be liable to a fine of twice the claimed amount and imprisonment from two years [134]to fifteen years, according to the gravity of the offence.

(2) A person who conspires, out of the offences of money laundering referred to in sub-section (2) of Section 3, shall be liable to punishment under sub-section (1), and a person who commits the other offences shall be liable to half of the punishment referred to in sub-section (1).

(3) A person who commits an offence relating to the financing of terrorist acts referred to in sub-section (1) of Section 4 shall be liable to a fine of five times the claimed amount

[129]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[130]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[131]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[132]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[133]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[134]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

where the claimed amount is ascertained, and [135]of five crore rupees where the claimed amount is not ascertained, and imprisonment from seven years to twenty years, according to the gravity of the offence.

(4) A person who commits an offence relating to the financing of terrorist acts referred to in sub-section (2), (3) or (4) of Section 4 shall be liable to half of the punishment referred to in sub-section (3).

(5) If any person commits any offence relating to money laundering or financing of terrorist acts [136]by using a legal person, legal arrangement or the same, the person, office-bearer or employee committing such offence shall be liable to punishment under sub-section (1), (2), (3) or (4).

(6) If the person, office-bearer or employee referred to in sub-section (5) cannot be identified, the office-bearer working as the chief at the time of commission of such offence shall be liable to action in accordance with the prevailing law.

(7) If any public servant, or office-bearer or employee of a reporting entity, commits any offence relating to money laundering or financing of terrorist acts, such person shall be liable to an additional ten percent punishment over the punishment referred to in sub-section (1), (2), (3) or (4).

[137](7a) If a person who has the obligation to prevent the commission of an offence allows the offence to be committed by not discharging his or her obligation to prevent such offence, despite having reasonable grounds of knowledge that an offence under this Act may be or is being committed, he or she may be liable to imprisonment for up to one year.

(8) If any [138]legal person or legal arrangement commits any offence relating to money laundering or financing of terrorist acts, such legal person shall, notwithstanding anything contained in the prevailing law, be liable to any or all of the following punishments according to the gravity of the offence:-

(a) A fine of up to five times the fine that may be imposed under sub-section (1), (2), (3) or (4),

(b) Prohibition from public procurement for a specified period,

(c) Restriction on the purchase of products or services for a specified period,

[135]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[136]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[137]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[138]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(d) [139].....

(e) Cancellation of licence or permit, or

(f) Dissolution of such legal person.

(9) If anyone violates this Act or the Rules framed under this Act, except for what is mentioned in sub-sections (1) to (8), he or she shall be liable, where the claimed amount is ascertained, to the confiscation of the claimed amount and a fine equal to the claimed amount, and, where the claimed amount is not ascertained, to a fine of up to ten lakh rupees.

[140](10) If any person appears to be the beneficial owner in an offence under this Act, he or she shall be liable to the punishment under this Section.

30A. Interest of bona fide third party to be protected:–

(1) While causing compensation for loss and damage to be paid under Section 34B, [141]or while dissolving a legal person or legal arrangement, or cancelling the licence or permit of such person or arrangement, under sub-section (8) of Section 30, it shall be done in such a manner that the economic interest of a bona fide third party is protected, subject to the prevailing law.

(2) If the licence or permit of a legal person or arrangement is cancelled under sub-section (8) of Section 30, the further management of the property and liabilities of such legal person or arrangement and the necessary acts after cancellation shall be done, or caused to be done, in accordance with the prevailing law.

31. Punishment for breach of confidentiality[142]:–

A person who does not maintain confidentiality under sub-section (2) of Section 10B, or who breaches confidentiality contrary to Section 26, shall be liable to imprisonment from one month to three months, or a fine of up to one lakh rupees, or both.

32. Punishment for concealing or destroying evidence:–

A person who conceals or destroys evidence related to acts deemed to be an offence relating to money laundering and financing of terrorist acts shall be liable, according to the degree of the offence, to imprisonment from one month to three months, or a fine from fifty thousand rupees to one lakh rupees, or both, and a person who assists in doing such act shall be liable to half of such punishment.

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[139]Deleted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[140]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[141]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[142]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

33. Punishment for obstruction:–

[143]If anyone obstructs the activities relating to investigation, the adjudicating authority may, on the basis of the report of the investigation officer, impose on him or her imprisonment for up to six months, or a fine of up to five thousand rupees, or both.

33A. Punishment for causing harassment or nuisance[144]:–

If it is proved that anyone has filed a false complaint, without reasonable cause to file a complaint, with the intention of causing any kind of loss or damage, or causing trouble, harassment or nuisance, to anyone, the adjudicating authority may, on the basis of the report of the investigation officer, impose a fine of up to ten thousand rupees on such person.

33B. Not to investigate or prosecute with mala fide intention[145]:–

(1) An officer investigating or prosecuting shall not investigate or bring charges with mala fide intention to implicate, harm or harass an innocent person, or to protect the actual offender.

(2) A person who commits, or causes to be committed, the offence referred to in sub-section (1) shall be liable to imprisonment for up to six months, or a fine of up to one lakh rupees, or both, and shall also be liable to departmental action in accordance with the law relating to his or her conditions of service.

34. Property or instrumentality to be confiscated[146]:–

(1) If an offence relating to money laundering and financing of terrorist acts is proved, the following property or instrumentality related to the offence, in whosoever's name, possession or ownership it may be or in which anyone may have any kind of interest, shall be confiscated:-

(a) Laundered property,

(b) Instrumentality related to the offence used or sought to be used to commit an offence of money laundering,

(c) Proceeds of crime from an offence relating to the financing of terrorist acts,

(d) Property used or allocated or sought to be used for the financing of terrorist acts, or by a terrorist act, terrorist or terrorist organization, and

(e) Instrumentality used or sought to be used to commit an offence relating to the financing of terrorist acts.

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[143]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[144]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[145]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[146]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(2) If the property or instrumentality referred to in sub-section (1) has been concealed, consumed or disposed of, is the property or instrumentality of a bona fide person, or cannot be confiscated for any other reason, other property of the offender of an equivalent value shall be confiscated.

(3) While confiscating property or instrumentality under sub-section (1) or (2), the legal rights of a bona fide person not involved in the offence shall be appropriately protected.

(4) For the purpose of sub-section (3), notwithstanding anything contained in sub-section (1) or (2), the court shall not confiscate the property or instrumentality of a bona fide person not involved in the offence, and the property grown or increased therefrom, if the following circumstances exist:-

(a) If such person does not appear to be involved in any offence relating to money laundering or financing of terrorist acts,

(b) If such property or instrumentality does not appear to be proceeds of crime or an instrumentality related to the offence,

(c) If such property or instrumentality appears to have been acquired before the commission of the offence relating to money laundering and financing of terrorist acts, and such person did not know that such property or instrumentality might be used in the offence by the concerned person.

34A. Claimed amount to be recovered[147]:–

If anyone has suffered loss or damage from an offence under this Act, the claimed amount of the loss or damage, where ascertained, shall be recovered from the offender and paid to the victim.

34B. Compensation to be paid[148]:–

If loss or damage to the person or property of anyone has been caused by reason of anyone committing any offence under this Act, reasonable compensation therefor shall be paid to the victim of the offence.

Chapter-8
Miscellaneous

35. Risk assessment to be made[149]:–

(1) Regulators, investigating bodies, reporting entities and other bodies related to this Act shall identify, assess and understand the risk, as required, not less than once a year, in

[147]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[148]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[149]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

respect of money laundering, terrorist acts or proliferation financing of weapons of mass destruction, risky technologies, new dimensions of risk, persons carrying out such acts, and the registration, permission and action thereof, and prepare a report thereon.

(2) Before making the assessment under sub-section (1), a reporting entity shall prepare the method and objective basis of the assessment and submit them to the regulator.

(3) If the regulator finds that the risk assessment report of a reporting entity is not objective and effective, it may give necessary directions.

(4) The bodies or institutions referred to in sub-section (1) shall make their sectoral risk assessment and send the report thereof to the Coordination Committee.

(5) The Coordination Committee shall prepare a national and sectoral risk assessment report on the basis of the reports received under sub-section (4).

(6) The bodies or institutions referred to in sub-section (1) shall make and implement a risk-based annual action plan on the basis of the risk assessment report prepared under this Section.

(7) Other provisions relating to risk assessment shall be as prescribed.

35A. Details of beneficial owners to be submitted[150]:–

(1) If anyone, while establishing, registering or obtaining a licence for any company, cooperative, private firm, partnership firm or any other kind of legal person by investing capital through shares or other means, has invested fifteen percent or more of the shares or capital in such company, cooperative, private firm or partnership firm, directly or indirectly, or in the name or through the medium of anyone else, solely, jointly or in a group, or is the beneficial owner thereof by any other means, the details of such beneficial owner shall be submitted to the body establishing, registering or licensing the legal person.

(2) Until the details referred to in sub-section (1) are submitted, the concerned body shall not register, establish or grant a licence to such legal person.

(3) A company, cooperative, private firm, partnership firm or legal person established by investing through any kind of share or other means referred to in sub-section (1), registered or licensed under the prevailing law, shall not issue bearer shares or other financial instruments related thereto.

Provided that if a foreign legal person has issued bearer shares or other financial instruments related thereto under the law of its country, it shall inform the concerned registering body thereof. If such legal person has a regulator, such information shall also be given to such regulator.

[150]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(4) The regulator or, where there is no such regulator, the registering body shall confiscate the capital of the person who does not provide the details under this Section, or who provides false details relating to the beneficial owner, to the extent of the details not provided or the false details provided, impose a fine from ten lakh rupees to fifty lakh rupees on the beneficial owner thereof, and give information thereof to the Financial Information Unit and the concerned body investigating or enforcing the law.

(5) The company, cooperative, private firm, partnership firm or legal person established by investing through any kind of share or other means shall regularly update the details referred to in sub-sections (1) and (2) for five years from the date on which anyone ceases to be a beneficial owner, make them available to government or reporting entities as demanded, and keep them so that they are available to others as prescribed.

(6) The body registering legal persons and the regulator shall keep the records relating to the beneficial owners of such legal persons for at least five years from the date of dissolution of such legal person.

(7) A company, cooperative, private firm, partnership firm or legal person established by investing capital through any kind of share investment or other means, existing at the time of commencement of this Section, shall submit the details of the beneficial owner under this Section to the body registering or licensing such legal person within one year from the date of commencement of this Section.

35B. Details of persons actually controlling or receiving economic benefit to be kept[151]:–

(1) A domestic or foreign person operating a legal arrangement shall keep up-to-date details of the persons establishing and protecting such legal arrangement, the natural person actually controlling such legal arrangement, the person or class receiving high economic benefit from such legal arrangement, and the persons providing financial, accounting, tax or investment management and agency services to such legal arrangement, and shall also send an integrated record of such details to the concerned regulator, if any.

(2) A natural person who has operated a legal arrangement under sub-section (1), or who actually controls such legal arrangement, shall also disclose the details relating thereto while becoming a customer of a reporting entity.

(3) If there is any change in the details under this Section, such legal person shall immediately inform the concerned regulator thereof.

(4) The regulator may impose a fine of up to one lakh rupees on a legal arrangement or person who does not provide the details under this Section, provides false details, or does not inform the reporting entity.

[151]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(5) A legal arrangement in operation at the time of commencement of this Section shall submit the details under this Section to the regulator within one year from the date of commencement of this Section.

(6) The records referred to in sub-section (1) shall be kept safe for at least five years from the date on which such person is separated from involvement in the legal arrangement.

35C. Details to be kept[152]:–

(1) Notwithstanding anything contained elsewhere in the prevailing law, a legal person referred to in Section 35A shall keep details disclosing its name, address, registration and licence, legal form and status, area of work, the law and body relating to its regulation, and the identity of the office-bearers of its board of directors or other committee of a similar nature, in such a manner that they are publicly available.

(2) If anyone is a beneficial owner in a legal person referred to in Section 35A, such legal person shall also disclose the details of such beneficial owner while becoming a customer of a reporting entity.

(3) The regulator, if any, or, where there is no such body, the registering body may impose a fine from five lakh rupees to fifty lakh rupees on a legal person which does not keep the details referred to in sub-section (1) publicly available after updating them, or does not disclose the details of the beneficial owner under sub-section (2).

35D. Functions of body registering or regulating non-profit organizations[153]:–

(1) The body registering, granting affiliation to or regulating non-profit organizations under the prevailing law shall perform the following functions in relation to the prevention of money laundering or terrorist acts or proliferation financing of weapons of mass destruction:-

(a) Making necessary arrangements so that the property of non-profit organizations cannot be used in money laundering or terrorist acts or the proliferation of weapons of mass destruction, or in any other act contrary to this Act,

(b) Giving suspicious information relating to money laundering or terrorist acts or proliferation financing of weapons of mass destruction to the Financial Information Unit,

(c) Making and implementing, or causing to be implemented, necessary standards to identify the persons or groups receiving benefit from such organizations in order to make the activities of non-profit organizations transparent and credible,

[152]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[153]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(d) Carrying out, or causing to be carried out, sectoral and institutional risk assessment and management,

(e) Carrying out, or causing to be carried out, an audit relating to effectiveness under this Act at the cost of the concerned organization on the basis of the risk of activities relating to money laundering and financing of terrorist acts,

(f) Carrying out inspection, supervision or monitoring on the basis of risk.

(2) The body registering or granting affiliation to non-profit organizations under the prevailing law, or the regulator of such organization, may give necessary directions to the concerned non-profit organization in relation to the activities under sub-section (1).

(3) It shall be the duty of the concerned organization to comply with the directions given under sub-section (2).

(4) The body granting affiliation shall write to the regulator of such organization, if any, and, where there is none, to the body registering such organization, for taking action against a non-profit organization which does not comply with the directions given by it under sub-section (2).

(5) The regulator of such organization, if any, and, where there is none, the body registering such organization may impose a fine of up to five lakh rupees for the first time, and up to ten lakh rupees for each time thereafter, on a non-profit organization which does not comply with the directions given under sub-section (2).

35E. Compliance report to be submitted[154]:–

(1) Banks and financial institutions, insurers, casinos, institutions dealing in securities, institutions carrying out commercial transactions in real estate, cooperatives whose main business is savings and credit, or reporting entities specified by the Nepal Government by publishing a notice in the Nepal Gazette shall, in order to ensure the appropriateness and effectiveness of the functions to be performed under this Act, cause an audit to be carried out every year by a compliance examiner listed under Section 35F on the following matters, and submit a compliance report to the regulator:-

(a) Necessary policy, institutional, technical and control structures and the appropriateness thereof,

(b) Risk assessment according to the institutional area of work, establishment of a risk-based system and the effectiveness thereof,

(c) Implementation of the annual action plan, reporting system and monitoring,

(d) Identification and improvement of weaknesses in risk assessment, policy, institutional, technical, control and implementation structures and effectiveness,

[154]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(e) Other matters determined by the regulator on a sectoral basis.

(2) The audit referred to in sub-section (1) shall be completed, and the report thereof submitted, within six months from the date of expiry of the fiscal year.

(3) If the regulator is not satisfied with the report under sub-section (2), or if it deems necessary to carry out a detailed audit of any reporting entity, it may carry out or cause to be carried out the audit of any reporting entity at any time, at the cost of the concerned reporting entity.

35F. Listing of compliance examiners[155]:–

(1) A person wishing to work as a compliance examiner under Section 35E shall make an application to the Financial Information Unit for listing, along with the prescribed details and documents.

(2) The Financial Information Unit shall make necessary inquiry into the application received under sub-section (1), and if the applicant is found qualified to work as a compliance examiner under Section 35G, list the applicant and inform him or her thereof.

(3) If it is not possible to list the person making an application under sub-section (1), the applicant shall be informed thereof, stating the grounds and reasons therefor.

(4) If a person listed as a compliance examiner under sub-section (2) does not continue to hold the qualifications under Section 35G, he or she shall not be entitled to work as a compliance examiner, and in such case the Financial Information Unit shall remove his or her name from the list.

35G. Qualifications of compliance examiner[156]:–

A person shall have the following qualifications in order to be listed as a compliance examiner:-

(a) Having obtained at least a master's degree in prevention of money laundering or financing of terrorist acts, economic or financial management, management, public accounting or financial management, economics or law, or having obtained a chartered accountancy degree, and having at least five years of experience in the field of prevention of money laundering or financing of terrorist acts,

(b) Having received the prescribed training in the field of prevention of money laundering or financing of terrorist acts, and

(c) Not being disqualified under Section 35H.

[155]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[156]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

35H. Disqualification for compliance examiner[157]:–

(1) The following persons shall be deemed disqualified to be listed as a compliance examiner under Section 35F:-

(a) A non-Nepali citizen,

(b) A person who has become insolvent, in Nepal or abroad, by failing to repay loans,

(c) A person who has been blacklisted or has become a defaulter in any transaction with a bank or financial institution or cooperative, in Nepal or abroad, and a period of at least five years has not elapsed from the date of release from such blacklist or default,

(d) A serving director, office-bearer or employee of a reporting entity, regulator or investigating body,

(e) A person having a financial interest in a reporting entity, or being a partner in any kind of contract or lease, or having a personal interest,

Provided that, for the purpose of this clause, ownership of less than one percent of shares, or being a legal adviser or auditor, shall not be deemed as having a personal or financial interest.

(f) A person who has not paid tax required to be paid under the prevailing law,

(g) A person convicted by a court of an offence relating to money laundering, terrorist acts or proliferation financing of weapons of mass destruction, or any other serious offence or heinous offence,

(h) A person who has yet to pay the imprisonment or fine imposed under the judgment of a court.

(2) Notwithstanding anything contained in sub-section (1) and Section 35G, nothing shall be deemed to prevent a reporting entity itself or the regulator, in special circumstances, from carrying out or causing to be carried out a special compliance examination or risk assessment of any reporting entity through prescribed domestic or foreign experts, or jointly.

(3) The reporting entities referred to in Section 35E shall, before having the compliance examination carried out, have an independent review of the risk assessment of such entity carried out by a compliance examiner referred to in Section 35F or a Nepali expert on risk.

Provided that there shall be no bar to having such review or compliance examination carried out by a foreign expert, with information to the regulator, if necessary for any special reason.

[157]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

35I. Functions, duties and powers of compliance examiner[158]:–

The functions, duties and powers of a compliance examiner carrying out the audit of a reporting entity under Section 35E shall be as follows:-

(a) To have access to any details and documents of the reporting entity,

(b) To obtain necessary information from any office-bearer and employee of the reporting entity,

(c) To comply with the directions or guidelines given by the Financial Information Unit and the regulator in relation to the audit, or to use in the course of the audit the information given in respect of the reporting entity,

(d) To exercise the functions, duties and powers conferred on an external auditor under the prevailing law,

(e) To submit the following reports to the following bodies by the end of Poush of each year:-

(1) The audit report, to the board of directors or chief of the reporting entity,

(2) The long form report, to the regulator,

(3) The relevant part of the report relating to transactions above the specified limit and suspicious transactions, to the Financial Information Unit.

(f) To perform other functions as prescribed in relation to the audit.

36. Property to be released:–

If the [159]property or instrumentality frozen under Section 18 does not appear to have been obtained from an offence relating to money laundering and financing of terrorist acts, [160]the chief of the investigating office, on the basis of the [161]report of the investigation officer if a case has not yet been filed in respect of the offence, and the court hearing the case if a case has been filed, shall order the body freezing such [162]property or instrumentality to release such [163]property or instrumentality, and if so ordered, such body shall release such frozen [164]property or instrumentality.

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[158]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[159]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[160]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[161]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[162]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[163]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

[164]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

37. No punishment for providing information[165]:–

(1) Even if any act done by a reporting entity or its office-bearer or employee in the course of discharging the obligations under this Act appears to be contrary to the financial or professional confidentiality under the prevailing law, he or she shall not be deemed to have violated the prevailing law to the extent of discharging the obligations under this Act.

(2) If a government body, reporting entity or any office-bearer or employee thereof has made available any report, document, record, notice or information in good faith in the course of complying with this Act, the Rules framed under this Act, or the directives issued or directions given, no civil, criminal, administrative or disciplinary action shall be taken against, or punishment imposed on, such office-bearer or employee on the ground that he or she has breached the confidentiality, administrative or regulatory obligation or contractual obligation under the prevailing law.

38. Auction sale may be made:–

(1) If any [166]property or instrumentality [167]taken under control in relation to an offence relating to money laundering and financing of terrorist acts appears likely to be damaged or lost by rusting or any other circumstance if kept for a long period, or is likely to rot or decay, or is likely to depreciate in value by becoming old, or cannot be maintained or kept due to lack of space, such [168]property or instrumentality may be sold by auction after completing the process under the prevailing law.

(2) The income received from the auction made under sub-section (1) shall be deposited in a deposit account, and if it is decided later to return such [169]property or instrumentality to the concerned person, only the amount received from the auction sale shall be returned to him or her.

39. Departmental punishment to employees involved in investigation:–

If the investigation officer or any employee of the Department carries out any act with the intention of knowingly causing trouble, harassment or nuisance to anyone while investigating an offence relating to money laundering and financing of terrorist acts or carrying out other functions, notwithstanding anything contained in the prevailing law, departmental punishment shall be imposed by the concerned authority if such employee is [170]the chief of an office, and by the chief of the office in the case of other employees.

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[165]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[166]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[167]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[168]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[169]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[170]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

40. Provisions relating to service of notice:–

(1) Notwithstanding anything contained in the prevailing law, if a notice is to be served in the name of a foreign person in respect of an offence relating to money laundering and financing of terrorist acts, and such person has any kind of office or representative within Nepal, the notice shall be served in the name of such office or representative, and the notice so served shall be deemed to have been duly served.

(2) If there is no office or representative referred to in sub-section (1), the notice shall be served at the main place of business of such person, or the address of his or her permanent residence, or any address given by him or her for correspondence at the time of the transaction, through telex, telefax or other means of telecommunication that can be recorded, or by registered post, and the notice so served shall be deemed to have been duly served.

(3) Notwithstanding anything contained in sub-section (1) or (2), if there is a separate provision in any treaty to which the Nepal Government or Nepal is a party for serving notices in the name of a person residing abroad, this Section shall not be deemed to prevent the service of notice accordingly.

41. Notice to be published:–

If, while sending a notice or serving a summons in the name of any person under this Act or other prevailing law, a report is received that such notice could not be served or such summons could not be served because the address of such person could not be traced or for any other reason, then, notwithstanding anything contained in the prevailing law, a public notice shall be published at least twice in a national level newspaper (in an English daily in the case of a foreigner), giving such person a time limit of thirty days and stating a brief description of the matter, to appear before the investigation or, if a case has already been filed, before the adjudicating authority, and if the notice is so published, such person shall, notwithstanding anything contained in this Act or other prevailing law, be deemed to have been duly given notice or served the summons.

42. Interpretation of intention[171]:–

The intention, knowledge or purpose of the accused person in relation to an offence relating to money laundering and financing of terrorist acts shall be interpreted objectively on the basis of factual circumstances.

43. No bar to proceedings and disposal of case:–

Notwithstanding anything contained in the prevailing law, there shall be no bar to the proceedings and disposal of a case under this Act even if the accused or defendant dies before or after the filing of the case.

[171] Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

44. Waiver in claim of punishment:–

The investigation officer may present an accused who cooperates in the activities of investigation under this Act as his or her witness, and give him or her full or partial waiver in the claim of punishment.

Provided that if the cooperation made by him or her is not proved by other evidence, or if he or she gives a statement before the adjudicating authority adverse to the cooperation made to the investigation officer, a case may be filed against him or her again, notwithstanding anything contained in this Act or the prevailing law.

44A. Notice or information not to be disclosed[172]:–

(1) A reporting entity or its office-bearer or employee shall not inform the customer or any other person that the following reports, documents, records, notices or information in relation to an offence relating to money laundering and financing of terrorist acts or a predicate offence are being provided, have been provided or are about to be provided:-

(a) A suspicious transaction report or a report relating to transactions of the threshold determined under this Act or above,

(b) A report relating to the continuous monitoring order of transactions under Section 19A,

(c) Documents, records or notices made available to the Financial Information Unit, the investigation officer, the concerned officer investigating offences under the prevailing law or the regulator,

(d) Any other details or information to be made available by a reporting entity under this Act, the Rules framed under this Act, or the directives issued or directions given, or

(e) Identifying details of the office-bearer or employee providing the reports, documents, records, notices or information referred to in clauses (a) to (d).

(2) The Department, the investigation officer or any employee of the Department, or any body or officer investigating offences under the prevailing law, shall not give anyone information that discloses, or may disclose, the identity of the Financial Information Unit, reporting entity, or the office-bearer or employee thereof, providing the notice or report, document, record or information received from the Financial Information Unit or a reporting entity in relation to an offence relating to money laundering and financing of terrorist acts or a predicate offence.

(3) The details or matters not to be disclosed under this Section shall not be mentioned even in judicial proceedings.

[172] Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(4) The following authorities shall punish a person acting contrary to this Section as follows:-

(a) The regulator, a fine of up to ten lakh rupees on a bank and financial institution or casino,

(b) The regulator, a fine of up to two lakh rupees on a non-financial professional or business,

(c) If the reporting entity is a corporate body, such entity, departmental punishment on its office-bearer or employee in accordance with the law of such entity,

(d) Notwithstanding anything contained in the prevailing law relating to the constitution and operation of the service, the concerned authority, departmental punishment on the chief of the Department, the investigation officer or an employee of the Department, or an officer investigating offences under the prevailing law,

(e) Notwithstanding anything contained in the prevailing law relating to the constitution and operation of the service, the concerned authority, departmental punishment on the chief or an employee of the Financial Information Unit.

44B. Special provisions relating to confidentiality[173]:–

(1) Notwithstanding anything contained in the prevailing law relating thereto, documents, records, details, notices or information required to be kept confidential under the prevailing law shall not be deemed to be confidential to the investigation officer or the Financial Information Unit for the purpose of performing its functions under this Act.

(2) For the purpose of sub-section (1), if the investigation officer or the Financial Information Unit so demands, stating the purpose, the concerned body, office-bearer or person shall make available such documents, records, details, notices and information.

(3) Other provisions relating to the demand by the investigation officer or the Financial Information Unit, and the provision, of documents, records, details, notices or information required to be kept confidential under the prevailing law shall be as prescribed.

44C. Transactions to be carried out through financial institutions or banking instruments[174]:–

(1) The Nepal Government may, in consultation with the Rastra Bank, by publishing a notice in the Nepal Gazette, make provisions requiring the purchase, sale and other transactions of any service or goods of a value equal to or exceeding the value specified therein to be carried out only through financial institutions or banking instruments.

[173] Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[174] Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(2) It shall be the duty of all concerned to carry out, or cause to be carried out, the purchase, sale and other transactions of the goods or services mentioned in the notice referred to in sub-section (1) through financial institutions or banking instruments, and not in cash.

44D. Minimum expenses may be provided[175]:–

(1) [176]If, while investigating an offence relating to money laundering and financing of terrorist acts or carrying out the proceedings of a case, the entire property of any person has been frozen under this Act and there is no other means or source for the livelihood of such person and the other persons dependent on him or her, the court may order [177]the investigating office to make available to such persons, out of the property so frozen, the property necessary for their minimum livelihood.

(2) If an order is made under sub-section (1), [178]the investigating office shall make such property available to such person.

44E. Computer processed records may be taken as evidence[179]:–

(1) Notwithstanding anything contained in the prevailing law, records processed and developed through electronic means may, for the purpose of this Act, be taken as evidence, except where otherwise proved.

(2) Necessary provisions relating to obtaining, analysing or processing records, details and data may be made as prescribed.

44F. Information to be given to Ministry of Foreign Affairs[180]:–

If the Department, a regulator or the Financial Information Unit [181]or any other related body enters into an understanding with any body of a foreign country performing similar functions for the exchange of international cooperation under this Act, it shall inform the Ministry of Foreign Affairs thereof as soon as possible.

44G. Standards may be made[182]:–

The Nepal Government may make and implement necessary standards relating to the exchange of international cooperation, other than mutual legal assistance to be provided in accordance with law, in relation to the control of financial crimes.

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[175]Inserted by the Assets (Money) Laundering Prevention (First Amendment) Act, 2068.
[176]Amended by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[177]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[178]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[179]Inserted by the Assets (Money) Laundering Prevention (First Amendment) Act, 2068.
[180]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.
[181]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[182]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

44H. Reports to be sent[183]:–

(1) A reporting entity carrying out activities under this Act shall prepare an annual report, including a review of the activities carried out by it during each year, and submit it to the regulator within two months from the expiry of the fiscal year.

(2) Regulators, investigating bodies and other related bodies shall prepare an annual report, including a review of the activities carried out by them during the year, in the format determined by the Coordination Committee, and send it to that Committee through the concerned Ministry within three months from the expiry of the fiscal year.

(3) While preparing the report under sub-section (2), the regulator shall also include, in a brief and integrated manner, the matters of the reports submitted by reporting entities under sub-section (1).

(4) The Coordination Committee shall prepare an annual report on the basis of the reports received under sub-section (2) and submit it to the Board of Directors.

(5) The Board of Directors shall, on the basis of the report referred to in sub-section (4), finalize the annual report and submit it to the Nepal Government, and the Nepal Government shall lay such report before the Federal Parliament.

45. Reward to be given:–

(1) Any person who gives a tip-off on, or files a complaint about, an offence relating to money laundering and financing of terrorist acts, and assists in the investigation thereof or in the collection of other evidence, shall be given as a reward an amount equal to ten percent of the claimed amount established upon the offence being proved, or ten lakh rupees, whichever is less.

(2) If there is more than one person referred to in sub-section (1), such amount shall be given on a pro rata basis.

46. Power to frame Rules:–

The Nepal Government may frame necessary Rules to implement the objectives of this Act.

47. Power to issue directives[184]:–

The Nepal Government may make and issue necessary directives to implement this Act or the Rules framed under this Act effectively, or to cause compliance with the international standards relating to the prevention of money laundering and financing of terrorist acts.

Schedule

[183]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[184]Inserted by the Assets (Money) Laundering Prevention (Second Amendment) Act, 2070.

(Relating to clause (dd) of Section 2)

Predicate Offences

1. Any of the following offences under the prevailing law:-

(a) Offences relating to participation in an organized criminal group and racketeering (unlawful or extortionate recovery),

(b) Offences relating to terrorism, including subversive acts,

(c) Offences relating to human trafficking and transportation of any kind,

(d) Offences relating to sexual exploitation of any kind, including child sexual exploitation,

(e) Offences relating to illicit trafficking in narcotic drugs and psychotropic substances,

(f) Offences relating to illicit trafficking in arms and ammunition,

(g) Offences relating to illicit trafficking in stolen or other goods,

(h) Offences relating to corruption and bribery,

(i) Offences relating to fraud,

(j) Offences relating to forgery,

(k) Offences relating to counterfeiting of coins or currency,

(l) Offences relating to counterfeiting of goods and illegal copying or piracy of products,

(m) Offences relating to environment,

(n) Offences relating to homicide and grievous bodily injury,

(o) Offences relating to kidnapping, illegal detention or hostage-taking,

(p) Offences relating to theft or robbery,

(q) Offences relating to smuggling (including customs, excise and tax),

(r) Offences relating to tax (including direct or indirect),

(s) Offences relating to extortion,

(t) Offences relating to piracy (sea piracy),

(u) Offences relating to market manipulation or insider trading affecting the securities or commodities market,

(v) Offences relating to protection of ancient monuments,

(w) Offences relating to forests, national parks and wildlife conservation,

(x) Offences relating to currency, banking, finance, foreign exchange, negotiable instruments, insurance or cooperatives,

(y) Offences relating to black-marketing, consumer protection, competition or supply,

(z) Offences relating to elections,

(aa) Offences relating to communication, broadcasting or advertisement,

(bb) Offences relating to fraud in transport business, education, health, medicine or foreign employment,

(cc) Offences relating to firms, partnerships, companies or associations and organizations,

(dd) Offences relating to house, land and property,

(ee) Offences relating to lottery, gambling or donation,

(ff) Offences relating to citizenship, immigration or passport.

2. Offences relating to the financing of terrorist acts under Section 4,

3. Any other offence specified by the Nepal Government by publishing a notice in the Nepal Gazette, or

4. If any act deemed to be an offence under paragraph (1), (2) or (3) has been committed abroad and such act is also deemed to be a crime under the law of the concerned country, such offence.

Note: (1) Words converted by the Second Amendment: "investigation" in place of "investigation and inquiry"; "offence relating to money laundering and financing of terrorist activities" in place of "offence under this Act" or "offence punishable under this Act"; "National Coordination Committee" in place of "Coordination Committee". (2) Words converted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080: "terrorist act" in place of "terrorist activities"; "Coordination Committee" in place of "National Coordination Committee".